ACC405- QSN AND Answers

Public Sector Accounting (Midlands State University)

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MIDLANDS STATE UNIVERSITY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

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QUESTION:

- **WHAT IS A CONSOLIDATED REVENUE FUND?**
- **WHAT IS ITS PURPOSES?** **[25]**

Prior to embarking on definition of the Consolidated Revenue Fund, an understanding of the public funds or accounts might be necessary. There are two golden rules that we have in public funds and accounts; the first golden rule is that is no moneys must be collected from the people without parliamentary approval and the second no moneys should be expended without the approval of the parliament. The rule goes on to say public moneys must be used for public purposes i.e. use public money to get public goods and services. Therefore because of these golden rules it means that all the revenue collected from the public, that money must be deposited into funds or accounts that are public fund and accounts so that people know exactly how much money has been collected and how much money has been withdrawn to pay for public goods and services.

The funds or accounts have three characteristics all moneys collected in terms of decision from a ~~supreme political power must be known~~, moneys in any fund may be used for prescribed purposes only and lastly moneys put into account come from prescribed sources meaning you the act of the parliament to determine the revenue and use of the money in a fund. The Consolidated revenue fund is a reservoir for accruals and cash of the government. It is an account which maintains what accrues to the government and what has been collected in cash by government. ~~Consolidated revenue fund is where all revenue of the state is paid.~~ It consist of a current revenue fund and revenue placed here is not cash, cash is kept in Exchequer account, but a record of that cash is kept with the consolidated revenue fund and put together with the accruals to show the gross resources of government.

The Consolidated revenue Fund is controlled and managed by the Treasury. Treasury comprise of the Minister responsible for finance, secretary, and accountant general and accounting officers. The treasury have the right to issue in form of notice to officers concerned, the instructions or directions on matters in relation to the expenditure by the ministry involving a charge on the consolidated revenue fund. The control of the consolidated revenue fund is bestowed upon the treasury by the Public Financial Management Act(chapter 22:19) of 2009.

According to the Constitution of Zimbabwe (2013) the Consolidated Revenue Fund (CRF) serves as the national purse into which must be paid all fees, taxes, borrowings and all other revenues of the Government, whatever their source. The consolidated revenue fund is the main account or fund of the government and it is were all state revenue is paid to and payments are made unless specified by an enactment or constitution of Zimbabwe. It is regulated by provisions of the constitution of Zimbabwe section (101 to 104).The CRF collectively covers income generated from sources such as taxes, fees, duties, tariffs, sale

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of public goods and services, profits or dividends from public enterprises, interest on loans, among other sources. The consolidated revenue fund is managed by the Ministry of Finance.

The Constitution defines the term public revenue as government revenues including any money owned or held by the State or any institution or agency of government, including provincial and local tiers of government, statutory bodies and government-controlled entities. Public property means any property owned or held by the State or any institution or agency of government, including provincial and local tiers of government, statutory bodies and government-controlled entities.

Purpose of the Consolidated Revenue Fund.

According to section 16 of the Public Finance Management Act of 2009, all revenue of Zimbabwe shall be paid into the consolidated revenue fund. On the other hand, a receiver of revenue may, if authorized by treasury withhold from the consolidated revenue fund revenues collected and my retain the withheld revenue to make refunds of moneys or revenue erroneously brought to account as revenue or for defraying the expenses of the withholding authority.

In simple terms, the chief purpose of the consolidated revenue fund is to facilitate regulation of public funds by acting as a main fund for all revenue and expenses. The issue of funds is controlled by the constitution of Zimbabwe and public finance management act.

The revenue paid into the consolidated revenue fund may only be issued to meet expenditure that is charged upon that Fund by the Constitution or by an Act of Parliament; or where the issue of those moneys has been authorized by an Appropriation or other Act made pursuant to the provisions of section 103.According to the constitution of Zimbabwe, no moneys shall be withdrawn from any public fund, other than the Consolidated Revenue fund, unless the issue of those moneys has been authorized by or under an Act of Parliament. ~~This explicitly entails that bulk of government or public expenditure is met from the CRF and only handfuls are met from other specific funds.~~

The credit balance of the consolidated revenue fund may be invested with a financial institution subject to notice not exceeding twelve months or may be kept in cash. ~~The money can be otherwise kept in cash with a financial institution as the accountant general may determine from time to time~~. The investment of moneys forming part of the consolidated Revenue Fund shall be made in such manner as may be prescribed by or under an Act of Parliament.

An Act of Parliament may make provision for the President, where he is satisfied that there is an urgent need for expenditure which was unforeseen or the extent of which was unforeseen and for which no other provisions exits, to authorize the withdrawal from the Consolidated revenue Fund of moneys for the purpose of meeting that expenditure and any moneys so withdrawn shall be included in supplementary or additional estimates which shall be laid before Parliament on one

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of the fourteen days on which Parliament sits next after the authorization of such withdrawal and, when such estimates have been approved by Parliament, a supplementary or additional Appropriation Bill shall be introduced into parliament provided that the sums so withdrawn shall be charged upon Consolidated Revenue Fund and that they shall be appropriated , under separate votes for several heads of expenditure approved, to the purposes specified therein: provided that the aggregate of all moneys so authorized to be withdrawn shall not any time prior to the consequential estimates having been approved by parliament exceed one and one-half per centum of the total amount appropriated in the last main Appropriation

The consolidated revenue fund is where public expenses are met following the end of a financial year prior to the preparation of the main appropriation Act after the due approval by the President. The amount authorized shall be for meeting government expenditure for the four months from end of financial year or to the date when the main appropriation act have been issued, whichever is earlier. Authorised amount shall not exceed one third of the sums included in the estimates of expenditure for the preceding financial year that has been laid before the house of assembly.

According to the constitution of Zimbabwe (2003) sec 306, outlines three circumstances for authorisation of expenditure in advance of appropriation by the president from the CRF. The first instance is an excess expenditure than the appropriated amount as a result of unforeseen extent of expenditure. The second condition is when the year has commenced before the appropriation Act has become operational and last instance is when the parliament has dissolved before adequate provision for funds has been made to carry on the government operation. The authority is granted by the President as per the provisions of (section 27) of the Public Financial Management Act. (2009). The money authorized is intended to carry the services of the government during the period beginning from the dissolution date to three months after the day on which the parliament first meet after the dissolution.

All public debts and their associated charges are paid from the consolidated revenue Fund. The public debts according to the constitution of Zimbabwe Section 104. Money for all the payments of public debts and the consequent charges as interest shall be issued from the consolidated revenue fund. The cost and charges incurred in the collection and management of the consolidated revenue fund shall form precedence upon the fund. It is understood that money paid into the consolidated revenue fund comes from prescribed sources and payments from it are made or prescribed purposes as provided by the parliament and the President through the authority vested in them by the legislature. All public debts are therefore charged upon the consolidated revenue fund and the security thereon.

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According to section 103 of the constitution of Zimbabwe, when estimates of expenditure apart from those charged upon the constitution or Act of parliament have been approved by the parliament, A bill called the appropriation bill shall be introduced into the parliament providing for issue of sums from the consolidated revenue fund necessary to meet such expenditure and the appropriation under several heads.

The salaries of the comptroller and Auditor general is a charge upon the consolidated revenue fund as asserted by the Audit Office of 2009.All constitutional entities, statutory bodies, public entities' income and expenditure is controlled and managed though the consolidated revenue fund. The allocation originates from submission by the minister responsible for finance estimates of revenue and expenditure for each government entity. The Appropriation act is then drafted and approved from the estimates submitted and amounts are allocated as such.

In conclusion the consolidated revenue fund serves as the national purse into which must be paid all fees, taxes, borrowings and all other revenues of the Government, whatever their source. The consolidated revenue fund is the main account or fund of the government and it is where all state revenue is paid to and payments are made unless specified by an enactment or constitution of Zimbabwe. Its purposes among others are the payments of publics debts, used in the preparation of yearend financial statements of the government, the credit amounts are used to invest with a financial institution and used to fund the parliament before the appropriation bill and during dissolution of the parliament.

QUESTION:

- **What is the role and function of the ministry of finance in relations to Public finance, Explain if this role is being played to its fullest? [25]**

Roles and Functions of ministry of Finance.

1. Management of the consolidated Revenue fund and the National development fund, including debt management.

2. Formulation and administration of the national accounting policy.

3. Ensuring maximum efficiency in the use of public financial resources and public property by evaluating and formulating up-to-date and effective systems of internal check and control.

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4. Formulation of the national budget with emphasis on the recurrent expenditure of government and approving conditions of service of the whole public service on the recommendation of the various service commissions.

5. Management of domestic and international finance, facilitating and participating in the negotiations.

6. Registration and supervision of commercial banks, merchant banks, building societies, insurance companies, pension funds and the stock exchange.

7. Giving policy guidelines to the reserve bank of Zimbabwe.

8. Implementation of the economic reform program me and analysing the impact of the policies on the economy.

9. Carryout macro-economic reviews and recommend policies which promote macroeconomic stability necessary for sustainable economic growth.

10. Collection of all revenue due to government, in particular through the departments of taxes and customs and excise.

11. Analysing the performance of parastatals and advising on matters financial policy**.**

12. Supervision of state lotteries.

13. Administration of the government procurement board**.**

14. Administration of the central computing services and responsible for computerization policy in government.

15. Administration of the national economic conduct inspectorate.

16. Administration of the department of printing and stationery.

Management of the consolidated Revenue fund and the National development fund, including debt management.

Consolidated Revenue Fund is the main account of the government. According to the constitution of Zimbabwe Section 302 says there must be a Consolidated Revenue Fund into which must be paid all fees, taxes and borrowings and other government revenues. According to section 6 of Public finance management act the treasury shall manage the Consolidated Revenue Fund.

However the ministry is failing to play this role to the fullest due to the inadequate revenue being generated in the country because of the decline in the manufacturing sector and low

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mineral commodity prices, it has become difficult to support all expenditure hence the government resorted to debt funding and has difficult in repaying this debts as well for example the country still owes the IMF, World bank and African Export –Import Bank about 8.3 billion dollars.

Collection of all revenue due to the government, in particular through the departments of taxes and customs and excise

The Zimbabwe Revenue Authority, which derives its mandate from the Revenue Authority Act (chapter 23:11) and over subsidiary legislation is responsible for assessing, collecting and accounting for revenue on behalf of the Ministry of finance. It is through ZIMRA which enforces revenue collection through customs and excise duty. The collection of revenue by ZIMRA has resulted in the taxman levying other taxes on the taxpayer for example the formalisation of SMES which resulted in registration of all SMES for VAT as at 30 June 2017. On 9 April 2017, ZIMRA also disclosed that it had introduced lifestyle taxation on certain individuals.

However this role is not being played to the fullest because the collection of revenue has been greatly affected by the weak systems of ZIMRA which has resulted in the taxman losing a lot of revenue. According to the 2016 mid-term fiscal review statement the tax revenue collected from January to June was 1.65 billion dollars which was below the projected revenue of 1,75billion dollars this was as a result of corruption of Zimra Officials and also poor systems in collection taxes. The Newsday of 2 September 2017 reported that Zimra has suspended its two officials in allegations of failure to arrest rampant transit smuggling.

Giving policy guidelines to the reserve bank of Zimbabwe

The Ministry of finance was responsible for formulating a law which gave the RBZ powers to introduce the bond notes in 2016. This was after there were shortages of US dollar in the economy. The ministry of finance sourced $200 million facility from the African Export and Import Bank to back up the introduction of bond notes.

However there were allegations that the proper procedures were not followed in introducing the bond notes. They also failed to cure the problem of cash crisis because of externalisation of money by individuals, bank queues has risen.

Implementation of the economic reform programme and analysing the impact of the policies on the economy.

It is the duty of the ministry to implement policies which can curb economic ills of the country and assess the effectiveness of any policy on the economy such as Indigenisation policy, command agriculture and Statutory Instrument of 2016 which bans the importation

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of all goods which are produced locally (S.I. 64). In mid-term fiscal review statement the ministry agreed with the IMF to monitor its implementation economic reforms. The ministry pledged to sharply cut its public sector wage bill by 52 % by 2019 to improve fiscal discipline.

However due to policy inconsistency the ministry has failed to implement economic reforms and analyse the impact of policy on the economy fully. For example the ministry of finance were at loggerheads with the ministry of indigenisation on the execution of the policy, in order to implement this programme Minister Zhuwao threatened all non-compiling firms with forced closed closure. Minister Chinamasa preferred a case by case approach to indigenization which sharply contradicted Zhuwao's approach. Also in order to reduce government expenditure of 2016 the ministry had suspended the payment of bonuses to civil servants but a week later the President announced the opposite.

Formulation of the national budget with emphasis on the recurrent expenditure of government and approving conditions of service of the whole public service on the recommendation of the various service commissions.

The role of the ministry of finance is to formulate the national budget with the emphasis of recurrent expenditure. The national budget also indicate the current and projected state of the economy. The ministry of finance has managed to formulate the national budget from year to year without fail.

However the ministry of finance has faced challenges in executing this role because of huge budget deficit. Due to lack of foreign direct investment, unbudgeted subsidies to farmers and food imports following a devastating drought, it has resulted in budget deficit shooting up to US1.4 billion in 2016.

Ensuring maximum efficiency in the use of public funds resources and public property by evaluating and formulating up to date and effective systems of internal check and control

According to Section 6 of the public finance management act the treasury shall determine the manner in which public resources shall be accounted for, exercise a general direction and control over public resources. The treasury may by notice to officers concerned issue instructions or directions to matters involving: collection/expenditure on public money, acquisition and control of state property and operation of any statutory fund.

However the outgoing auditor general says although section 49 of the public finance management act requires that public entities keep full records of their financial affairs for accountability and transparency purposes, some ministries and statutory bodies failed to submit assets and property registers. This compromised the control environment due to weak internal control environments in some ministries. This shows the ministry has failed to ensure the control environment is strong.

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Formulation and administration of the national accounting policy

The ministry of finance specifies to every Ministry, reporting unit the basis of accounting system to be adopted and the classification system to be used. The ministry has managed to implement a new accounting policy which is accrual basis of accounting from the cash basis of accounting and it has now managed to apply IPSAS.

However due to lack of personnel with an accounting background in some ministries, the implementation is still facing some challenges.

Analysing the performance of parastatals and advising on financial matters

It is the duty of the ministry of finance to reform Zimbabwe's 91 state-owned companies. In April 2016 the ministry had targeted 10 parastatals for priority restructuring. They include Air Zimbabwe, Cold Storage Commission (CSC), Civil Aviation Authority, National Railways of Zimbabwe (NRZ), Agricultural and Rural Development Authority (ARDA) and the Grain Marketing Board (GMB).

However the treasury has failed to restructure the parastatals because of lack of financial resources. Across government, parastatals last year forked out at least $12 million dollars to fund Ministries that were failing to get money from Treasury for operations. None of the payments were authorised by Treasury

Payment of statutory salaries

The minister of finance has the mandate to pay all statutory salaries. ~~He approves the payment of salaries for civil servants.~~

According to the Zimbabwean newspaper article published on 14 October 2016 the minister presented a midterm fiscal policy in which he acknowledged that Zimbabwe may not be able to pay its civil servants by end of the year. Minister Chinamasa proposed measures to conserve the country's available resources. The measures include freezing public sector bonuses and reducing expenditure in foreign missions.

Carryout macro-economic reviews and recommend policies which promote macroeconomic stability necessary for sustainable economic growth.

During the period of hyperinflation from 2002-2009, the ministry of finance has been accused of failing to manage the country's fiscal. The government introduced different notes as part of its policy to avert cash challenges faced by the banks during this period. The then governor of the reserve bank of Zimbabwe Gideon Gono was accused of failing to bring lasting solutions to the challenges that the county was facing. At some point Zimbabwe was the only country where everyone was a millionaire due to the extreme hyper-inflation which had hit the country. In 2008 the Ministry of Finance introduced a

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multicurrency system but the impact of inflation had already affected all sectors of the country.

In conclusion, the Ministry of Finance is not fully playing its roles

Question:

- **What are the sources of government revenue .how they are collected and ultimately disbursed .In your view what other mechanisms should be put in place to maximize revenue collection? [25]**

The writer is going to show the sources of government revenue and further more explain how they are collected and disbursed at the same time outlining some other mechanisms to be put in place so as to maximize revenue collection.

There are two main sources of government revenue, non- tax revenue and tax revenue. Non tax revenue results from an exchange transaction whilst tax revenue are as a result of non - exchange transaction. Exchange transaction is the exchange of goods and services and payment at fair value. Non- exchange transaction are a result of giving out money but not getting anything in return. The main government revenue source comes from taxes and by definition, taxes shift resources from the private sector (households and businesses) to the public sector. The purpose of the shift is to pay for the goods, services, and government operations that we, through our elected representatives, ask government to provide.

Tax revenue

- P.A.Y.E
- Customs duty
- Excise duty
- Value added tax
- Presumptive tax
- Corporate tax
- Other taxes for example carbon tax, tobacco levy

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Non tax revenue

- Fines and penalties
- Local authorities
- Borrowing
- Donations
- State owned companies
- Fees from schools and health sector
- Certification for securities and properties

Collection of government revenue

P.A.Y.E - The Pay As You Earn (PAYE) system is a method of paying Income Tax on remuneration. The employer deducts tax from your salaries or pension earnings before paying you the net salary or pension. It is levied on employees who earn $301 and above .the percentage charged on each employee is based on the tax table. The more the salary, the more pay as you earn is paid. Employer deducts the tax from the employee and remits it to government.

PAYE is calculated as follows:

Determine gross income for the day/week/month/year.

Deduct exempt income, for instance bonus:

You get => ***Income***

Deduct allowable deductions, e.g. pension:

You get => ***Taxable Income***

Value added tax

Value Added Tax (VAT) is an indirect tax on consumption, charged on the supply of taxable goods and services. It is levied on transactions rather than directly on income or profit, and is also levied on the importation of goods and services. A tax paid by the consumers and suppliers of the goods and services whenever value is added. The taxable

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product is charged 15% which is remitted by the tax payer, the difference between the output and input tax is remitted.

Rates of VAT

Standard rate of 15%

- Generally, all goods and services are standard rated unless specifically exempted, zero-rated or subject to VAT at a special rate.

Zero-rate (0%)

- Exports of goods from Zimbabwe to an address in an export country.
- Basic foodstuffs such as sugar etc.(listed in the Vat Regulations)

No value added tax is chargeable on exempt supplies. Examples of exempt supplies include: Financial services, Provision of electricity for domestic use, Provision of piped water for domestic use and rates charged by Local Authorities.

SI 26 A of 2017 removed some goods from zero rating and standard rating and placed them under exempt supplies.

Corporate tax

A tax levied on companies on their operating income. It is collected quarterly on every 25th of March, June, September and 20th of December and is charged 10%, 25%, 30% and 35% respectively.

Customs Duty

According to the Custom and Excise Act Chapter [Chapter 23:02] A tax levied on imported goods .the tax is calculated on the value, weight or some other criteria of the item for example the size of an engine in case of automobiles.

Excise duty

According to Customs and Excise Act [Chapter 23:02] it is a percentage levied on goods that are locally produced to support /protect local industries.

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A Special Excise Duty is charged on

- The change of ownership of locally registered second-hand motor vehicles at specified rates. For example, a 2014 (2000cc motor vehicle) the excise duty is $500 in terms of the Customs and Excise Act [Chapter 23:02].
- The sale value of airtime at a rate of 10%.

Capital Gains Tax (CGT)

Is tax levied on the capital gain arising from the disposal of a specified asset. Specified asset means

- immovable property (e.g. land and buildings) and
- any marketable security (e.g. debentures, shares, unit trusts, bonds and stock).

Where the specified asset being disposed of/sold was acquired after the **1st of February 2009**, Capital Gains Tax is chargeable at the rate of **20%** of the capital gain.

Where the specified asset being disposed of/sold was acquired before **1st February 2009**, Capital Gains Tax is chargeable at the rate of **5%** of the gross capital amount realized from the sale. These rates will also apply on the disposal of these additional assets

Presumptive tax

Presumptive Tax legislation was introduced to broaden the revenue base in view of the increase in informal business activities. Selected sectors of the economy were targeted to ensure the participation of informal businesses in tax payment in line with experiences of other developing countries.

A tax designed for informal businesses to increase revenue base for example hair dressers commuter omnibuses. It has specifications from $70 per quarter and $10 per chair for hair dressers to $150 for omnibuses.

Zinara was appointed as an agent of Zimra for the collection of presumptive taxes in respect of transport operators, taxicabs and driving schools. Transport operators are supposed to have paid the full presumptive tax by the 20th day after the end of each quarter, however it can be paid on a monthly basis.

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Hairdressing Salon Operators' Presumptive Tax -Every operator of a hairdressing salon is required to pay Presumptive Tax amounting to **US$10.00 per chair per month**. The full amount should have to be paid by the 20th day after the end of the quarter. Amounts not paid by the due date are subject to interest charges.

Informal Traders' Presumptive Tax - All persons in receipt of rental income from an informal trader in respect of residential accommodation, premises or a place on which trade is carried on are required to recover an additional amount by way of Presumptive Tax equal to **10% of the rental** and remit it to ZIMRA. This also includes local authorities. The amount should be remitted within 30 days from the date the amount is recovered. Failure to recover or remit the Presumptive Tax renders the lessor personally liable for the payment of the Presumptive Tax and a penalty of 100% of the amount due. Failure or refusal on the part of the informal trader to pay the Presumptive Tax constitutes a breach of the lease and allows the lessor to terminate the lease without notice.

Cross-Border Traders' Presumptive Tax - Cross border traders who import commercial goods into Zimbabwe are required to pay a Presumptive Tax equal to **10% of the value for duty purposes (VDP)** of the commercial goods. The only exception is cases where the trader is registered with ZIMRA for Income Tax purposes and is up to date with submission of tax returns and payment of all taxes due.

Operators of Restaurants or bottle-stores - every operator of a restaurant or bottle store is required to pay Presumptive Tax amounting to **US$70 per month**. The full amount should have to be paid by the 10th day after the end of the quarter. Interest is chargeable on all amounts not paid by the due date.

Non tax revenue

Fines and penalties

These are charges imposed on persons as a punishment of contravention of the law. For example, fines imposed on over speeding, vehicle overloading, vehicle defaults etc. Other

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penalties come from those that are charged by the companies like Environmental management agency EMA.

Income from local authorities

Profits or surplus from the local authorities after deducting their expenses are transferred to the government and the government will transfer it in the consolidated revenue fund.

Income from state owned companies

The government wholly or partly owns other companies. Companies submit their dividends to government such as NSSA, Sables Chemicals Pvt (Ltd) and other parastatals and quasi government institutions such as ZETDC and Zinwa.

Deficit financing.

When the total expenditure exceeds total revenue the, government will have to look for external funds locally, it issues bonds, treasury bills from organizations and individuals then internationally they can get from funders like the IMF and world bank.

Grants and gifts

These are voluntary funds from organizations like government and nongovernmental organizations and individuals to specific ministries for the specific purposes. The disbursement of which is directed to that specific purpose.

Allocation of government revenue.

The public management act chapter 22 of 2009 gives authority to the minister of finance to manage and control public resources. This has to be approved by parliament after the presentation of the budget by the minister of finance. Therefore the overall revenue from all sources are disbursed through the ministry all projects to be done by ministries are financed at respective stages by order of relevancy.

Mechanisms to maximize revenue collection

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- Full and effective enforcement of S .I 64 of 2016. This may be done by strictly controlling border posts by strengthening the complete staff swapping by ZIMRA at revenue collection points by retraining their workers to suit different workstations and avoid fraud by familiarity. Our boarders continue to be porous even after the implementation of the instrument because it is not being continually and intensely monitored which has seen the influx of some of the banned goods into the country for example second hand clothes bales. Also the revenue report of the first half of 2017 reported that the volume of petrol has dropped by 4.62% from last years' resulting from under declaration of taxable petrol at the boarder because the importers claimed it was not petrol but jet fuel.

- Revise the indigenization laws to attract foreign direct investment. This helps to increase the employment levels in the country there by increasing the amount of P.A.Y.E collected by the government .Moreover, it also result in the increase in the corporate tax paid by the company.

- Include all sectors by the registration to charge presumptive tax. Currently there are just a few industries including hairdressing and commuter omnibuses .This will then need simpler requirements of registration such as shortening the days of registration or lowering the fees. The revenue base ultimately will rise.

- Fiscalisation refers to configuring of fiscal devices to enable them to record sales and other tax information on the read-only fiscal memory at the time of sale for use by the tax authorities in Value Added Tax (VAT) administration.

- Introduction of the statutory instrument 148 of 2016 will increase companies that pay tax. The introduction of the fiscalised point of sale machines will make this move easier .These machines are linked to Zimra servers so the collection will be easier. Hence, tax invasion will be difficult.

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- Cutting the rates of taxes may also increase compliance by companies to pay taxes .In the short run, this may lower the collected revenue but a lot of tax payers will be registered. In the long run however this will be effective since the rates can be increased later and revenue increase.

- Charging higher penalties to offenders and jail terms for corruption. Illicit financial activities undermine tax revenue. For example companies which misreport transactional values and quantity and mis-invoicing to evade taxes. In the second quarter of 2016, President Robert Mugabe noted that Zimbabwe lost US$15 billion in diamond revenue alone through illicit deals, a total enough to repay the national debt that is stifling socio-economic recovery in Zimbabwe.

Boosting Economic Activity. According to Sarah G et al (2005), all else equal, a bigger economy generates more tax revenue. Policies that boost economic activity, incomes, and wealth can thus lift revenues as well. Examples include policies that increase the number of people in the labor force, the number of hours they work, their skills, and physical and intellectual capital.

Immigration reform is one way to boost economic activity. Bringing new workers into the country would expand the labor force and attract new capital; allowing unauthorized workers to enter the legal workforce would boost their productivity and taxable wages.

Other policies that might boost economic activity include investing in infrastructure, education, and innovation; reforming the rules of social programs that discourage some people from working; and restructuring the tax code to encourage domestic investment. Actual economic gains depend on policy specifics; poorly-designed investments and reforms could boomerang, reducing economic activity.

Question:

- **What is the role played by the Auditor-General in relation to the public finance? Explain if the role is being played to its fullest. [25]**

The role of the Auditor-General is important and the Parliament relies on the Auditor-General to provide independent assurance that governmental activities are carried out, and

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accounted for, consistent with Parliament's intentions. This presentation sets out the fundamental principles that underpin the role of the Auditor-General.

Constitution Act amendment number 20 section 309 and Audit Office Act *(Chapter 22:18)* section 5 states the functions and duties of the Auditor- General include the following:

The duty to examine, inquire into and audit accounts.

Subsection 2 (a) of section 309 of the constitution clearly state that the Auditor-General shall audit the accounts, financial systems and the financial management of all departments, institutions, and all agencies of government, all provincial, metropolitan and local authorities. According to the Audit Office Act *(Chapter 22:18)* section 6 states that:

(1) The Comptroller and Auditor-General shall, on behalf of the House of Assembly, audit the accounts of any public entity, or designated corporate body and may carry out examinations into the economy, efficiency and effectiveness with which any Ministry, public entity, local authority, designated corporate body, statutory fund or other body has used public resources in discharging its functions.

(2) Where, the Comptroller and Auditor-General does not examine or audit any particular account or fund, moneys held in that account or fund shall be regarded as not being public moneys for the purposes of this Act.

According to the Standard newspaper which was published on the 25th of June 2017, *the Auditor -General noted that Justice, Legal and Parliamentary Affairs ministry last year failed to account or clear advances given to staff as travelling and subsistence's allowances. The money that was not cleared amounted to $287 201*. This clearly shows that the Auditor-General Mildred Chiri performed her role, however there were limitations for it to be played to the fullest, in accordance with the Newsday paper issued in 2017, '*some parastatals have not been audited since 2009 while the Zimbabwe Anti-Corruption Commission (Zacc) and several other stateowned enterprises have not submitted their accounts for many years'*.

The duty to satisfy himself or herself that public moneys and state property are safeguarded.

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According to the Audit Office Act *(Chapter 22:18)* section 7 states that:

1) The Comptroller and Auditor-General shall satisfy himself or herself that all reasonable precautions have been taken to safeguard the collection of public moneys and that the provisions of this Act and any other enactment and of any direction or instruction issued in terms of the Public Finance Management Act *(Chapter 22:19),* have been duly observed and all payments of public moneys have been made in accordance with proper authority and are supported by sufficient vouchers or proof of payment.

2) If at any time it appears to the Comptroller and Auditor-General that any irregularity has occurred in the collection, receipt, custody, control or payment of public moneys, he or she shall immediately, bring the matter to the notice of the Treasury and the appropriate accounting officer or receiver of revenue.

The standard newspaper released on 25 June 2017, *Zinara entered into a contract with a certain contractor to carry out road surfacing works at One Commando and Police General Headquarters (PGHQ), the total amount of the contract was $447 154 for the works done. Mildred Chiri observed that Zinara made payments amounting to $652 830 for works done at One Commando and PGHQ, which were $205 677 above the contract price and some payments were made without supporting documents. Chiri said although management made a commitment to rectify the anomalies, she was not satisfied with Zinara's compliance record.* This clearly implies that the role is being played yet there are setbacks for it to be played to its fullest. According to Ndebele (2017) says '*Among Mildred Chiri's plans to satisfy herself on the safeguard of public monies and state property, Chiri wanted to expand the Value for Money and Information Technology units, as well as introduce Forensic and Procurement Audit units, and professionalising her office and staff*'.

The duty to carry out special audits of the accounts of any statutory body, or government controlled entity.

According to the Constitution Act amendment number 20 section 309 states that:

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(2)(b) At the request of the Government, to carry out specific audits of the of the accounts of any

Statutory body or government controlled entity.

This role is supported by evidence in 2011 where the Auditor-General Mildred Chiri submitted the special audit report on management of dam construction and water supply by the Zinwa. However, the role was not played to its fullest because of lack of funds and stuff to perform the audit.

The duty to order the taking of measures to rectify any defects in the management and safeguarding of public funds and public property.

This role is stated in the Constitution Act amendment number 20 section 309 (2)(c).

The Zimbabwean Independent which came out on the 15th of July 2015 reads "*the audit revealed that most of the ministries were not taking corrective action on the issues of irregularities raised in previous year audits hence some of the weaknesses remained unresolved or were recurring yearly," said the Auditor-General.* This clearly illustrates that the role is being played, even so it is being hindered to be played to the fullest due to government showing little willingness to implement the recommendations.

The duty to exercise any other functions that may be conferred or imposed on him or her by or under an Act of Parliament.

This role is stated in the Constitution Act amendment number 20 section 309 (2)(d).

Ndebele (2017) reports "*in a telephone interview with the Zimbabwe Independent on Wednesday 22 March 2017, the Auditor-General Mildred Chiri confirmed that several parastatals have not been audited. Most of the parastatals' books are up to date although I can confirm that there are a few which have not been audited. Some were last audited in 2014 and some in 2015 and 2016. Some are in the process of compiling their financial statements.* This clearly entails that the role imposed on her was being played partially.

The duty to prepare and submit reports

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According to the Audit Office Act *(Chapter 22:18)* section 5 states that:

(2) the Comptroller and Auditor-General shall prepare and submit reports in terms of Part III.

According to the Newsday paper released on the 1st of July 2017 reads *'Auditor-General (AG) Mildred Chiri has once again tabled the 2016 audit reports before Parliament'*. In accordance with the Standard (2017) says *"some of Mildred Chiri' achievements include managing to clear a backlog of the annual Comptroller and Auditor General's reports which had lagged behind since the year 2000".* This apparently imply that the role was played although it was not to the fullest since some of the parastatals have not been audited because they did not have enough funds to pay for auditing fees, for instance Air Zimbabwe.

QUESTION

- **The Financial Management Cycle sets out the process used in administration of public funds/finance. In your opinion, which part presents the weakest link in the process here in Zimbabwe?**

According to Lane et al (2000), Financial Management refers to the efficient and effective management of funds in such a manner as to accomplish the objectives set. Its cycle (The Financial Management Cycle) sets out the process used in the administration of public funds/finance and has four phases fundamental to efficient and effective financial management. These phases are shown on the diagram below:

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The Financial Management Cycle



Planning and budgeting is the first stage in the financial management cycle which involves assessing the current market and prior year performance to formulate wide strategic objectives for the upcoming year. It also involves assessing the current resource position,

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linking resources to service plans and determining a budget plan. This results in the drawing of budgets which will guide on how the available resources are spent in order to achieve the goals set. Setting targets for revenue, expenditure, efficiency and equity is also part of the planning stage on the cycle.

The second stage is of Resource Allocation which only involves allocating resources across units based on priorities set in the planning stage. Resource allocation comes in several ways depending on whether the funds available can sufficiently cover each unit as per its budget submitted. If limited, this result in resources being allocated based on several strategies such as:

- Protecting Priorities: The funds are adjusted by taking into account past trends, future needs and policy priorities. This results in the protection of priority services such as health and educational services.
- Incremental Reduction: This route is mostly not used as priority services are not properly protected. It involves adjusting costs by the percentage difference of what the allocated budget is to the estimated budget.

Once the resources have been allocated to all units, this leads to the Operation phase [Budget Implementation]. Managing Operations involves operating, monitoring and safeguarding procedures to ensure efficiency and effective attainment of the objectives and/or targets set. It emphasizes the importance of internal controls and covers the management of revenue, expenditure, assets and liabilities. It involves ensuring that funds are spent and revenue collected according to the financial plan as well as to the norms and standards set. Monitoring evolves on making sure that there are good internal control measures and checking if they are being applied.

Reporting is the last stage on the financial management cycle that involves making reviews and evaluations. This stage links expenditures to service outputs, analyzing with respect to equity, efficiency and sustainability. It involves drawing up an annual report, identifying the key strategic issues for the next Budget Plan.

Evaluation is important as it:

- Helps in the making of better plans for the future;

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- Enables identifying areas to improve on operating and monitoring methods;
- Enables cost-result assessments, comparing operational plans with what happened in reality;
- Provides vision of where we are going and whether there is need to change direction;
- Enables analysis of gaps in performance;

In our opinion, the weakest part on the cycle in Zimbabwe tends to be the managing operations stage [Budget Implementation Phase]. According to Jowett et al (1998), Budget implementation is the actual functioning, performance and execution of a specific revenue and expenditure estimation to which an effective and efficient Budget Implementation System is characterised by:

- Low level of corruption in public expenditure [lawfulness];
- High transparency in public finance [openness];
- Public funds spent for authorized public purposes [value for funds];
- Reporting expenditure corresponding to actual expenditure [integrity];
- Reliable external and/or internal controls and where spending units have reasonable certainty as to the funds that will be available;
- Accountability and Fairness;

Poor controls are one of the prime problems weakening this part of the cycle. Internal controls are central to the requirements of public finance management so as to safeguard revenue and assets and be able to get the best result from funds available. Zimbabwe tends to have weak controls that ensure that targets set are fully achieved. These controls can be on funds management (revenue and expenditure), asset/investment management or on other policies.

According to what was released by the Auditor General- Mildred Chiri on the Appropriation Accounts and Miscellaneous Funds for the year ended 2013, weak internal control systems resulted in severe losses of funds. She mentioned that the government made losses resulting from fraudulent activities involving amounts ranging from US$3 000 to US$3,5million which is a clear indication of poor controls in place.

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Giving another example on weak controls, Zimbabwe in 2015 had more than $830million statutory funds not properly accounted for and/or lost. This was brought to surface by the acting Secretary of Finance and Economic Development- Mr. Z Churu before the Parliament Portfolio Committee on Finance and Economic Development. This brings out the weak funds management controls on revenue the country faces such that if the controls were stronger, the mismanagement of the funds would be at a relatively low level.

Corruption and mismanagement of funds is another prime problem that Zimbabwe faces in this phase. Government officials entrusted with public funds misuse and/or misappropriate these funds, which is a constraint as the real purpose the funds is disbursed for what is not or is poorly achieved.

The Financial Gazette [Thursday 31-08-2017] outlined that corruption has become embedded in Zimbabwe such that it has become a scourge of its economic development agenda. The constitution deals with principles of public administration and leadership and imposes impressive standards specifically stating that, "Public administration in all tiers of government, including institutions and agencies of the state, and government controlled entities and other publics enterprises must be governed by the democratic values and principles enshrined in this constitution"-9(194).

To give an example, in the Ministry of Education there are high rates of funds mismanagement at schools. Recently more than 21 headmasters who stand accused of numerous offences including misappropriation and abuse of funds were suspended. This highlights the magnitude of corrupt activities in the ministry and how unscrupulous officials are gnawing at the moral fabric of the once revered education sector and destroying it from within in the process. For instance, the government auditors recently unearthed severe misuse of funds at Chiredzi Christian College where the Headmaster, his Deputy, Teachers and some school development committee members allegedly worked in cahoots to defraud the school of over US$150 000. So, with this high level of corruption taking place at this stage, it weakens the process and/or the achievement of the desired targets.

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The other problem is of openness. Records of Ministries Financial Affairs should be religiously kept for transparency purposes as stipulated by Section 49 of the Public Finance Management Act. Transparent management throughout the cycle of financial management ensures that:

- all parties to the funding arrangement understand and respect their own objectives;
- all parties continue to understand and observe their obligations; and
- benefits and value gained early in the funding arrangement are sustained throughout the cycle

However, Auditor General- Mildred Chiri brought to light that quite a number of ministries did not produce Asset Registers, Cash Books and Ledgers for audit which is a clear indication to limited transparency to the ministries affairs. This then gives room to those directly involved to benefit personally at the expense of the desired public benefit. To do away with the transparency problem, Zimbabwe can adopt to the Australian 'Accrual Budgeting and Accounting Principle' that involves:

- Increasing emphasis on public sector transparency and accountability
- Outcome oriented approach to performance reporting.

Poor governance also contributes to the weakness of this stage on the financial management cycle in various ways. According to Lane et al (2000), governance relates to consistent management, cohesive policies, guidance, processes and decision making rights for a given area of responsibility, proper oversight and accountability. In Zimbabwe there is heavy concentration of unqualified personnel in government offices today who got there through politics. Most of these individuals are not really the best for the job, lacking good leadership and management traits in relation to their fields. This results in the process suffering due to poor decisions being implemented in the implementation phase. Also, whatever step they decide to take, they tend to think in terms of their political correctness due to fear and/or favour resulting in irrational decisions being passed on the management of public funds.

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There is also poor finance system that weakens this part of the cycle. Recently in the Ministry of Education, stakeholders have described the government public sector finance management systems as archaic and heavily contributing to the rampant abuse of funds. This enables bureaucrats dealing with public funds to end up taking advantage of loopholes in the poor systems to prejudice schools and treasury of millions of dollars. The government's accounting can be termed as not accounting at all since the manipulation being witnessed emanates from government's failure to come up with guidelines to manage the use of funds. It does not have vibrant management models in ministries but rather compromised low cost models liable to abuse. We may ask those who would have stolen funds to pay back but that will not put an end to the abuse for as long as the systems are not robust and water tight.

As mentioned earlier above, the other factor is of accountability. Accountability refers to answerability, blameworthiness, liability and the expectation of account giving. According to David Colt [19/05/1992-Newsday], lack of accountability in Zimbabwe has led to lack of changes as far as the economic development of Zimbabwe is concerned. He said that the major reason Zimbabwe is facing tremendous economic problems is that the government is unaccountable for several acts of corruption and mismanagement of funds.

To give an example, several public entities which are supposed to be cash cows for the nation are running as loss makers. Some of the mines that are supposed to be generating huge cash amounts are reportedly technically insolvent according to their financial statements. Jena Mines wholly owned by the government, recorded a US$4.7million loss before tax and has liabilities outstripping its current assets by US$17.6million. This implies that their balance sheet is unhealthy to which there is no accountability relating to the situation in the government.

In addition to the above example, we had people displaced by the flooding of Tokwe Mukosi Dam in Masvingo being resettled to areas with less government protection and promised compensations to their losses. These were not fully received by the victims and the government was not accountable to this mishap. In summary, this entails that there is no accountability found in the current Zimbabwean government.

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However, other stages on the cycle also have their weaknesses though they contribute in a lesser extend comparing to those of the Managing Operation Phase [Budget Implementation].

On the first stage of the cycle, there tend to be poor planning and budgeting. It is seen that most public sector undertakings have no serious budgeting systems. The budgets are of course prepared, but these are primarily with a view of obtaining funds from the government. The budget estimates are kept very high providing margins for cuts and when cuts are not made to the extent to which these have been incorporated, the whole exercise becomes unrealistic. This is the reason why usually there is a wide difference between estimated budgets and actual expenditure here in Zimbabwe. The lack of proper planning would therefore result in a heavy drainage of funds and thus there are serious financial problems in the wake affecting the cycle.

Another weakness on the cycle comes from the last stage of Reporting and Evaluation which involves reviews done by auditors. According to Peter F. Drucker (1954), the main purpose of these audits is for the main financial irregularities to be brought to light so that they are not committed again in future. However, due to corruption at its higher levels in Zimbabwe, the reports tend to be window-dressed such that the audit findings are not accurate as to what really took place. In other cases, the auditors find the correct information as to what took place but tend to withhold the crucial information due to certain fears mostly political and other forces like intimidation threats.

Lastly, the second stage also comes with a weakness in cases of uneven allocation of resources mainly due to political factors and threats explained above and/or cases were the resources are limited. Uneven allocation of resources would result in some sectors having more than enough funds for their affairs such that there is a severe wastage of resources at the expense of another sector struggling to keep up due to insufficient funds provided. Usually, this prevails as a result of sabotage coming about due to different political parties of the leaders of different ministries.

Question:

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- **What are the procedures used in procuring goods and services in the public sector? Are the set out procedures proving to be what is expected? [25]**

Public procurement is a process of acquring goods and services to meet the needs of the end user in the right quantities, conditions, delivered to the right place, for the right cost and the right goods using public funds. Procurement is done through tenders and purchase out of best advantage. It ranges from the purchase of routine supplies or service to formal tendering and placing contract for large infrastructural projects by a wide and diverse range of contracting authorities. The supreme law governing public procurement is the state procurement board act chapter 24:14. The SPB(state procurement board) is expected to supervise procurement on behalf of procurement on behalf of procurement entities so as to ensure issue of fairness, accountability, competitiveness and transparency.

There is mandatory obligation on the procurement entity to conduct its tendering proceedings in accordance with procurement regulations and to ensure that the procedures ensure fair and impartial treatment of suppliers. . The procedures are as follows;

Identifying the need – is the purchase necessary? Before starting any procurement process, it is important to establish whether it is essential to purchase. Establish whether there is a clear business need for the product or service. The procurement should be essential for the conduct of normal business or to improve performance. Stating that the need for the procurement 'is a good idea' is not a sufficient business case. Ensure that the business case addresses future phases of the service or purchase of goods that may be required. Determine whether the products or services are already readily available within your organization.

Writing the specification- once the need for, and what is needed from, a supplier or service provider has been established, the specification of requirements needs to be developed. Base the specifications on the needs identified in the business case. Ensure that the specifications are clear and comprehensive but not discriminatory. Ensure that the specifications present the optimum combination of whole-life-costs and/or price, where appropriate, and quality to meet your requirements.

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Estimating cost a realistic estimate of all phases of the service or product is essential as this will influence the procurement procedure to be followed and is important for budgeting purposes. Prepare a realistic estimate of all phases of the service or product. Establish whether funds are available to meet the purchase? Determine whether the estimate (exclusive of VAT) is over the relevant procurement threshold.

Securing approvals and funding- Once a realistic estimate of cost is available the relevant budget holder should be requested to approve the expenditure. Ensure that all necessary approvals are sought in adequate time.

Determining the best procurement strategy- Adopt a procurement strategy that will minimize casual or 'once-off' purchases and promote best value. Check if your organisation already has a draw-down contract or framework agreement in place for the product/service. If such an arrangement does exist but is not being used on this occasion, document the reasons why.

Deciding on the tendering procedure that should be followed. Following an appropriate competitive tendering procedure will avoid breaches of national procurement policy and Procurement Directives. The type of competitive process to be followed can vary depending on the size and characteristics of the contract to be awarded and the nature of your organization. There are two general types of procedure which may be used: an open procedure, where all interested parties are invited to tender and a restricted (or selective) procedure where only those deemed to have the necessary capacity and expertise are invited to tender. Sections 5 and 6.13 of Public Procurement Act – Competitive Process should be consulted for details of how these procedures apply under national rules. Conduct an appropriate competitive tendering procedure.

Preparing your Request for Tender (RFT) .Ensure that the RFT is clear and comprehensive. Clarity and completeness at this stage will help eliminate the need for clarifications later. Set out all the criteria that will be applied in the award process, together with the relative weightings of each. This is a vital part of the process. These criteria will form the basis against which tenders will be comparatively evaluated and are the key to an objective, transparent award procedure. Specify any special conditions of tender and required format of tender responses.

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Allowing sufficient time for submission of tenders Allow suppliers an adequate period for the preparation of tenders. Take account of the complexity of the contract when fixing the timescale for submitting responses. Allow suppliers sufficient time for submitting the necessary information and preparing the tenders (taking into account holiday periods).

Issuing tender documents, supporting documents and clarifications without delay Responses to requests for information, requests for tender documents and other supporting documentation (if not made available electronically on the e-tenders website) must be issued without delay. Issue tender documents and responses to requests for additional information in good time. Ensure that additional information supplied to one party, in response to a request, is supplied to all interested parties if it could be significant in the context of preparing a tender.

Receipting and opening tenders- You should ensure that proper procedures are in place for opening tenders. Return late tenders unopened to the tenderer and record their existence and time of arrival. Open all tenders (received on time) together as soon as possible after the designated latest time and date set for receipt of tenders. Arrange for the opening of tenders to take place in the presence of at least two officials of the contracting authority. Ensure that a clear and formal independently vouched report of the tenders received is produced.

Clarifying tenders- You may seek additional information in clarifying submitted tenders. Ensure that any clarification of tenders does not result in substantive alterations to bids after the deadline for submission has passed.

Evaluating tenders -The evaluation and award process must be demonstrably objective and transparent and based solely on the criteria published in the RFT. This is best achieved by the use of a scoring system based on all the relevant weighted criteria, indicating a comparative assessment of tenders under each criterion. Arrange for the evaluation of tenders to be carried out by a suitably competent team. Evaluate price exclusive of VAT. If price is the sole criterion, award the contract to the lowest priced bid complying with the specified requirements. If the ‘most economically advantageous tender’ is the basis for award, award the contract to the tender that best meets the relevant published criteria.

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Notifying tenderers - Unsuccessful candidates and tenderers for any public contract should be informed of the results of the tendering process without delay. In the case of contracts covered by the Zimbabwean Directives, allow a 14 calendar day interval (or seven calendar days in the case of a contract advertised under an accelerated procedure due to urgency) between notifying unsuccessful tenderers of the outcome of the tendering procedure and the formal award of contract.

Debriefing unsuccessful tenderers -Apart from observing the legal obligations where the provisions of the procurement Directives apply, where contracts are awarded on the basis of the most economically advantageous it is good practice to adopt a voluntary constructive policy on de- briefing unsuccessful candidates. Offer unsuccessful tenderers debriefing. In the debriefing, provide an objective assessment of the comparative strengths and weaknesses of the unsuccessful tender. Give due regard to commercial sensitivity and the need to avoid compromising the rights or competitive situation of other tenderers.

15. Checking tax clearance certificates - Before a contract is placed the supplier or service provider must hold a current Tax Clearance Certificate. Prior permission of the applicant must be sought, and the Customer number and tax clearance certificate number quoted. For efficiency and to reduce the administrative burden, contracting authorities are encouraged to use this online facility but if the supplier or service provider does not give permission to verify online then an original current Tax Clearance Certificate must be produced before formally awarding the contract. Ensure that the supplier or service provider is tax cleared by either verification online or by producing an original current Tax Clearance Certificate.

Awarding the contract- The contract should be awarded to the supplier or service provider that is best able to fulfil your requirements (selected in accordance with the award criteria), whose bid is within budget and in all other respects complies with the RFT, approval requirements, public procurement law and national guidelines. Record in the contract document(s) all terms and special conditions that apply, including health and safety requirements and insurance. In terms of Section 43 of the Procurement Act (Zimbabwe Government 1999) losing bidders have the right to appeal a tender decision within 20 days with the administration court, if they are unsuccessful and are not satisfied with the tender decision. Attach a specification to the contract document(s) which reflects the solution

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proposed by the successful tenderer. Ensure that the contract specifies clearly the roles and responsibilities of both the client and the supplier/service provider – what needs to be done, by whom and how much it will cost.

Managing the contract- The management stage of a contract is where value for money (VFM) gained during the preceding stages is realized. A contract needs to be effectively managed by the user, not just left to the supplier. Proactive involvement in the management of the contract is essential to maximize VFM. Have a program me of checking work/goods against the specification. Ensure that there are procedures for identifying inadequacies/poor performance and for remedial action. Maintain a record of supplier performance. At the conclusion of the contract, review the whole procurement process, not just the supplier's performance but also the effectiveness of the earlier stages. This review process can provide information for future procurements – in respect of developing and specifying needs, supplier selection and contract management.

From the above mentioned public procurement procedures there is a greater possibility that if they are correctly followed and abided with the general public will receive goods and services in the right quantities without compromising quality and with minimum cash resources being used allowing for a more productive economy to prevail. In reality these procurement procedures are to some extent proving what is expected, because some of the tenders are being awarded in accordance to a supplier who is in compliance with all the stipulated regulations.

The general public is to some extent receiving the goods and services in time, apart from receiving the services the procedures involved in the procurement process are seemingly being followed as it is easier for audits both internal and external to be carried out and auditors being able to give reasonable assurance that the processes have been correctly followed. Proper documents are made available when needed for reference purposes for example the purchase order documents.

Since the procurement process reaches a point whereby tenders are handed in confidentially there is a probability that integrity is practiced as the best tenderer will receive preference. There are also workshops that being done to promote understanding of the public procurement procedures to those involved directly ,people are being trained

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prior to the commencement of the procurement programme so that each person will know how best to conduct the procedure with maximum care at each step.

However the process has huge drawbacks that are making it less successful or the set out procedures are not proving what is expected because of so many reasons the main one being fraud. So many case have been and continue to be reported on fraud in the process of procuring goods for the general public and those charged with governance are the culprits. Most tenders are being awarded to those with high posts especially ministers and other influential business moguls this will automatically affect the quality of services which will provided to the general public as the basis of awarding the tender will be biased and failing to abide by the procedures as excepted .

The nature of procedures involved in procuring for the public is monotonous because it takes long for a simple informal tender to be published in the newspapers since many authorized signatories have to approve it before it is accepted especially the accountant general who has to approve the proposed budget, in a nutshell there is too much red tape and bureaucracy involved which will end up hampering the procedures

Secondly there is lack of accountability in the government, this means that people who would have been assigned to tackle different tasks fail to account for their work as expected and this will end up creating suspicions for corruption which is defined by Arrow smith (2010) as misuse of entrusted power for private gain. There is lack of procurement planning as everything is just rushed into without proper planning this is as a result of government not knowing and understanding what they are supposed and deliver to the general public.

Poor planning will eventually mean that even the monitoring and evaluation processes will not be done in accordance. Another issue will be that of legal enforcement, in Zimbabwe there is hardly any consistent enforcement of the rules and regulations. The procurement entities pretend to comply with procurement procedures while in actual fact compromising the spirit of the rules they have no fear of retribution if ever it comes. What is prevalent is advertising bids for a very short time so that just a few potential bidders get the opportunity and this reduces competition against their favorites who might have known about the coming advert in advance.

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Uromo (2014) observes that despite the fact that conflict of interest is covered under law, the law is not enforced in practice. For that reason public officials still award tenders to themselves through a third party and in some cases they award contracts to companies that are non-existent. Lack of knowledge and capacity is also affecting these procedures and some political bureaucrats may lack the knowledge of good procurement practices and yet occupying influential positions in the procuring entities.

Moreover the indigenization policy is also posing challenges in procurement, Musanzikwa (2013) revealed that the need to comply with indigenization policy resulted in tenders being awarded to incompetent companies.

In conclusion public procurement is very essential and important and it should be followed so that the general public is provided with the basic commodities to survive. Public officers and those charged with governance should practice integrity at all times so that a favorable economic environment for every citizen of the nation.

QUESTION:

- **It is said that government policies are the key drivers in the formulation of a national budget. In relation to the 2016 budget give your views and comments. [25]**

A national budget is a statement which reveals the proposed revenue and expenditure in monetary terms. The national budget need to be policy based for it to be sustainable. Government policies play an important role in the formulation of the national budget as they provide guidelines and strategies in achieving macro-economic objectives such as economic growth, low inflation rate, reduction in unemployment. These government polices considered as key drivers in the formulation of the national budget include Zim-Asset, fiscal policy, indigenization and empowerment policy and anti-corruption commission policy.

Zim-Asset has been a key driver in the formulation of the 2016 National budget as it constituted a large proportion in the budget. Zim-Asset is a government plan crafted to achieve sustainable and social equity anchored on indigenisation, empowerment and

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employment creation. This was a result based on agenda and is built around four strategic clusters that were targeted to enable Zimbabwe to achieve economic growth. These clusters include: food security and nutrition, social services and poverty eradication, infrastructure development and utilities, value addition and beneficiation. According to the Zim-Asset policy statement, due to resources constraint, government had to come up with the robust and prudent fiscal and monetary policy measures to buttress and boost its implementation and therefore budget funds to cater for each and every cluster.

In the 2016 National Budget, food security and nutrition cluster was adopted as one of the significant issue of the budget and therefore introduced under revitalising of Agriculture, section 6 of 2016 National Budget. This cluster focuses on the provision of Agricultural inputs and mechanisation programs to ensure that the agricultural sector contributes a significant value to the national development and ultimately building a prosperous and competitive food security and nutrition. Section 7.1.1 of the Zim-Asset policy statement views that the food security and nutrition cluster would create a reliable food surplus economy and Zimbabwe would re-emerge again as the bread basket of Southern Africa.

Social services and poverty eradication as one of the Zim-Asset clusters contributed a significant value to the formulation of the 2016 National Budget as it assists the government to apportion funds required for social services delivery in Zimbabwe. These social services include health, education and social welfare which are important in improving the standard of living of Zimbabwean citizens. Past experiences such as a collapse of public services delivery, deterioration in public infrastructure, increase in poverty and massive skills flight from most public institutions made the government to come up with programs that will enhance and improve service delivery to the public thereby enabling this cluster contribute to the formulation of the 2016 National Budget.

Also Zim-Asset has revealed that policies are important in the formulation of the 2016 National Budget through the adoption and application of the infrastructure development and utilities cluster. This cluster focus on the rehabilitation of infrastructural assets and the recovery of utility services in Zimbabwe and this includes the direct development of water and sanitation infrastructure, roads, hospitals, housing projects, power stations and educational centres. An estimate value of 127.7 million was allocated to this cluster thus

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making Zim-Asset policy an important factor in the formulation of the national budget. Infrastructural development shows an economic growth hence necessary amount required for the development of infrastructure should be budgeted for thus this cluster make Zim-Asset contribute significantly to the national budget.

Value addition as a cluster under Zim-Assets aims at improving the value of raw materials across various sectors such as mining and agriculture. The benefits are immense spanning from cushioning against commodity price and greater employment creation opportunities. The success of value addition may result in an increase in the Gross Domestic Product of the economy. However, the succession of value addition policy is dependent on the availability of resources and other key enablers that include energy and transport. Value addition initiatives requires adequate planning and consistent in investment and development both local and foreign. As shown above, Zim-Asset through value addition cluster has been a key driver in the formulation of the national budget as it aims at increasing the GDP of the economy as well as employment creation.

Zim-Asset policy was therefore a key driver to the formulation of the 2016 National Budget as its clusters were necessary for economic development. These clusters aimed at improving the economic conditions which would benefit the nation's citizen. Infrastructural development results in improved building and roads thus making the citizen's life comfortable. Also food security and nutrition aims at securing food supplies, revatalizing the agricultural sector hence becoming the bread winners again. Value addition would result in an increase in income thereby increasing the GDP. These clusters, through Zim-Asset, requires budgeting for by the government as they have positive impacts of the national development.

Fiscal policy was another key driver policy in the formulation of the 2016 National Budget as budgets should be managed within clear, credible and predictable limits for fiscal policies. Fiscal policies include tax rates, debt management, and government revenue and expenditure. It also gives a limit on how to spend so that the government does not suffer the problem of overspending. In addition, it assists the government in the sources of funding that is whether the expenditure is financed by self-generated revenue or debt financing.

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It is important to consider taxes policy as it assists the nation on how to monitor the efficiency in the administration of taxes. The 2016 National Budgets under section 15 views that government try to mitigate transit fraud by introducing the cargo tracking system that used electronic seals of transmitters to monitor transit cargo.

The fiscal policy has been of great importance in the formulation of 2016 National Budget as it is revealed in the budget statement where the policy is being applied in the debt management through strategizing ways in which debts were funded. The policy also shows the importance of policies in the budget where it gives guidelines as to revenue collection which government collects through its agencies. The fiscal policy also gives guidelines as to expected inflation rates expected in the budgeted period. The inflation rates on the other hand provides guideline to the pricing strategies to be adopted in the economy.

Another key driver to the formulation of the 2016 National Budget is the anti-corruption commission policy. The government aims at achieving a zero tolerance on corruption in all level of the business sectors within the economy in order to cater for good governance in Zimbabwe. Most of the government's revenues is being leaked through inflated and unrealistic pricing of goods and services. Such activities are depriving the availability of resources that should be allocated towards the infrastructure development and adequate service delivery. This policy has not been a success due to more of the corruption still happen at the country borders where the government had targeted to end corruption. The anti-corruption agencies have somehow colluded with fraudsters rather than acting against the fraudsters.

The 2016 National Budget also highlighted the indigenization and empowerment policy as a key driver to the formulation of the budget. Indigenization refers to the natural approach which seeks to benefit all indigenous citizens. The indigenization policy encompasses the unlocking of potential of small to medium enterprises, women empowerment and community development. Government placed emphasis in the investment of SMEs in order to ensure economic growth. Section 518 details that the government plans to support the SMEs through financing infrastructure, technology, management as well as marketing skills. Furthermore, the government aimed at supporting the SMEs through completion of

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Indo-Zim Common facility centre, entrepreneurial skills upgrade, market access through business to business linkages and trade promotion, cooperatives development.

The indigenization and empowerment policy also prioritised youth and women empowerment programs. The government reviewed a plan to introduce a women micro finance bank which would provide finance to various projects initiated by women. The national budget proposed five million dollars to advance the implementation of this project. Through this proposal, it has shown that the indigenization policy is a key driver to the formulation of the budget as funds were allocated to the project. Without empowerment programs, a budget may not include other activities that are necessary to the development of the economy hence indigenization and empowerment policy becomes a key driver to the formulation of the budget.

However, not only government policies were the key drivers to the formulation of the 2016 National Budget. Other factors contributed to the formulation of the 2016 National Budget and these factors include occurrence of natural disaster, other nations's support and the need to communicate with local citizens.

No policy pertaining to natural disasters was formulated but funding to natural disasters is done when there is a natural disaster, for instance El nino drought. These events are taken into consideration regardless of not having a policy. Natural disasters therefore contributed to the formulation of the 2016 National Budget. Also, government should provide formal communication to citizens on proposed revenue and expenditure.

Conclusively, government policies as highlighted in the 2016 National budget were a key driver in the formulation of the budget, as the budget was centred on addressing issues affecting the economy, the well-being of citizens as well as their development.

Question:

- **what is Zimbabwe's Current Relationship with :**
    a) **IMF**
    b) **World Bank**

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c) **The African Development Bank**
d) **The Paris Club**
e) **The London Club**

How this relationship did arises

In the essay below the writer explain Zimbabwe's current relationship with IMF, African Development Bank, World Bank, The Paris club and The London club. The writer will going to give a brief back ground of each institution, state the relationship and explain how did the relationship arise.

IMF

IMF (International Monetary Fund) It is an international organisation that provides financial assistance and advice to member countries. IMF controlled by its 187 member-countries, each of whom appoints a representative to the IMF's Board of Governors. The Board of Governors, most of whom are the finance ministers or heads of the central bank of the members, meet once per year to discuss and possibly achieve consensus on major issues. In the meantime, day-to-day operations are managed by a 24-person Executive Board. The IMF also has an International Monetary and Financial Committee of 24 representatives of the member-countries that meets twice yearly to provide advice on the international monetary and financial system to the IMF's staff.

Purpose of IMF

1) Facilitate the cooperation of countries on **monetary** policy, including providing the necessary resources for both consultation and the establishment of monetary policy in order to minimize the effects of international financial crises.
2) Assist the **liberalization** of international trade by helping countries increase their real incomes while lowering unemployment.
3) Help stabilize **exchange rates** between countries. Especially after the global depression of the 1930s, it was considered vital to establish currencies that could hold their value, serve as mediums of international exchange, and resist any speculative attacks.

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4) Maintain a **multilateral** system of payments that eliminates foreign exchange restrictions. Countries are thus free to trade with each other without worrying about the effects of interest rates and currency depreciation on their payments.
5) Provide a safeguard to members of the IMF against balance of payments crises, i.e., when governments cannot balance the money they have with the money they owe to other countries. IMF members can have the confidence to adjust the imbalances in their national accounts without resorting to painful measures that would hamper their prosperity, such as devaluing their currency in relation to other countries'.

Current relationship between Zimbabwe and the IMF

From 2nd – 13th of May this year (2017) a Team from the IMF was in the country assessing Zimbabwe's economic developments after clearing its arrears in Oct 2016. Press Release July 7, 2017, says Zimbabwe was fully settled overdue obligations to the IMF's PRGT in October 2016. This allowed the IMF's Executive Board to lift the declaration of non-cooperation, ineligibility to access PRGT, and restriction on technical assistance, in November 2016. Access to IMF resources, however, requires that Zimbabwe comply with other applicable IMF policies, including having a credible plan to: (i) resolve arrears with official creditors, and engage with external private creditors (if any); and (ii) implement strong fiscal adjustment and structural reforms to restore fiscal and debt sustainability and foster private sector development.

The relationship between Zimbabwe and IMF arises during the time Zimbabwe cleared its overdue arrears of US$107.9million with the IMF on the 20th of October, 2016.
It is back in the fold with the IMF, as the previously mentioned sanctions have been lifted against the country.

The World Bank

The World Bank is an international organization that helps emerging market countries reduce poverty. It is not a bank in the conventional sense of the word. Instead, it consists of two development institutions. One is the International Bank for Reconstruction and

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Development. The second is the International Development Association. The Bank's 189 member countries share ownership.

The Bank works closely with three other organizations:

- The International Finance Corporation
- The Multilateral Guarantee Agency
- The International Centre for the Settlement of Investment Disputes.

The World Bank is a component of the World Bank Group, which is part of the United Nations system. The World Bank's stated official goal is the reduction of poverty. However, according to its Articles of Agreement, all its decisions must be guided by a commitment to the promotion of foreign investment and international trade and to the facilitation of capital investment.

Current relationship between Zimbabwe and The World Bank

- The World Bank's lending program in Zimbabwe is currently inactive due to arrears, and the role is now limited to technical assistance and analytical work.
- Recently the World Bank was considering giving Zimbabwe US$300 million to settle part of its arrears to the multilateral lender, latest information shows that the plan has failed due to mounting local and international pressure against the country's arrears clearance strategy, (Mpofu 2016)

An International Development Association (IDA) Turnaround Eligibility Note for the Republic of Zimbabwe dated July 27 2016 revealed that the World Bank was considering providing assistance Zimbabwe to settle its arrears. The report showed that Zimbabwe was on the cusp of accessing exceptional support under the IDA 17 Turnaround Regime (Tar). IDA is a unit of the World Bank Group which fights poverty by giving interest-free loans to poor countries.

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- The World Bank is working on launching a Public Financial Management project for Zimbabwe to improve control, transparency, accountability and oversight for its use of public resources.

1. Financial Management and Accounting-assist to improve financial Reporting
2. Effectiveness of internal controls and audit-assist in compliance of rules and regulations
3. Strengthening external audit-to enhance the accountability of resources
4. Enhancing Parliament role In Public Finance Management-improve on transparency and accountability
5. Public Financial Management Enhancement Project (PFMEP) management-assist in administration and operational structure for management and coordination.
6. The world is technically assisting Zimbabwe in developing strategies for climate smart agriculture, energy and water use.

The World Bank will only resume direct lending to Zimbabwe when the issue of arrears is resolved. This approach is standard to all International Financial Institutions. Upon arrears clearance, Zimbabwe would be eligible as a borrowing member of the Bank to a broad range of financing instruments. Mpofu (2016).

How the Relationship Arises

International pressure against the country's ambitious arrears clearance strategies for example resistance by opposition groups, civil society organizations, western diplomats as well as the United States resulted in the crumbling of the Lima plan. In April 2015, Zimbabwe government launched a joint exercise with preferred creditors — the World Bank, International Monetary Fund (IMF) and the African Development Bank (AfDB) — to explore options to clear US$1,8 billion in arrears.

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This plan was presented in October 2015 in Lima, Peru, and was amended in May 2016 to include repayment of International Bank for Reconstruction and Development (IBRD) arrears (US$896 million) using a term facility syndicated by the African Export and Import Bank and Lazard Frères; and repayment of IDA arrears US$260 with a bridging facility from Afreximbank to be financed from future IDA development policy operation. The failure of the World Bank plan to help Zimbabwe has practically led to the collapse of Zimbabwe's US$1,8 billion arrears clearance strategy first proposed in Lima, October 2016, Mpofu (2016).

According to the World Bank, Zimbabwe government delays in Implementing its debt clearance plans for example In 2015, Zimbabwe proposed a plan to clear arrears and resume much needed financing from International Financial Institutions during 2016. However, delays in implementing this plan and undertaking corrective fiscal reforms have contributed to the declining market confidence and sharp economic slowdown.

Arrears owed by Zimbabwe to the World Bank. Zimbabwe owes the World Bank $1.15 billion, Africanews (2016).

- Failure to meet deadlines on the debts repayments. Finance minister Patrick Chinamasa adopted a plan in Lima in 2015 to repay the International Monetary Fund, the World Bank, the African Development Bank and the European Investment Bank more then $3 billion by late 2016. So far Zimbabwe only managed to clear its debt with the IMF, and agrees it needs to urgently clear other debts particularly to the World Bank. Thornycroft (2016).

The African Development Bank

The AfDB is a multilateral development bank that makes grants and loans to African governments and to public and private enterprises investing in Africa. The AfDB is Africa's largest development finance institution which is dedicated to combating poverty and improving living conditions across the continent. The AfDB is also engaged in mobilising resources for the economic and social development of its Regional Member Countries (RMCs).

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AfDB was founded in 1964 and comprises of 3 entities;

1. The African Development Bank
2. The African Development Fund
3. Nigeria Trust Fund

Purpose

To fight poverty and improve living conditions on the continent through the investment of public and private capital in projects and programs that is likely to contribute to the economic and social development of the region

Current Relationship

As reported by the Newsday 28 February 2016 , AfDB approved the funding (amounting to $26m) for 3 projects for the current year (2017) which were subsequently launched in February this year (2017), which are: Institutional Support for State Enterprise Reform and Delivery Project($4m) ,Alaska Karoi Reinforcement Program($18m) and Youth and Women Empowerment Program ($4m)

The main focus of institutional support for State Enterprise Reform and Delivery Project is to improve result based management systems within government and improve efficiency of state owned enterprises and Parastatals. The Minister of Finance and Economic Development, claims that it will help government implement reforms on public sector financial management and governance reforms in state owned enterprises.

The objective of the Alaska Karoi Transmission Reinforcement Project is to strengthen and increase the country's sub-transmission network capacity resulting in increased reliability and quality of electricity supply in and around Karoi area (agricultural hub) and to develop a national master plan for the generation, transmission and distribution of energy in the country.

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The Youth and Women Empowerment Project will support the creation of employment opportunities and the improvement of the incomes of targeted women and youth groups, as well as, the improvement of gender mainstreaming in the country's ministerial programmes.

The current situation is as a result of a past cordial relationship between the two, although the country has been having problems clearing its past obligations ($610m to date), AfDB has been willing to offer extended support to the country.

The Paris Club

The Paris Club (Club de Paris) is a group of officials from major creditor countries whose role is to find coordinated and sustainable solutions to the payment difficulties experienced by debtor countries. Paris Club creditors provide debt treatments to debtor countries in the form of rescheduling, which is by postponement or, in the case of concessional rescheduling, reduction in debt service obligations during a defined period (flow treatment) or as of a set date (stock treatment). Since 1956, the Paris Club has signed 433 agreements with 90 different countries covering over US$583 billion

Zimbabwe's current Relationship with The Paris Club

- At the moment there have been no recent talks or negotiations with The Paris Club.
- Zimbabwe is still in Debt to The Paris Club owing an amount of up to 3 billion dollars

3billion which comprises of principle areas, Interest Areas and Penalties

The London Club

- This is an informal group of private creditors on the international stand. Presentation
- It became the principal fora for the negotiation of debt rescheduling agreement between indebted government and commercial and official creditors.

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- It has no formalities or statutes and the agreed minutes are neither published or legally binding.
- It does not have a fixed membership or charters.
- Meetings are quiet, brief, informal and not held in London all the time.
- It has no formal secretary hence, there is a little or no existence of the clubs transactions and/or debt list.
- The absence of a secretary is a deliberate decision not to appear too encouraging to governments wishing to apply for rescheduling. (Martin 1987)

Function of The London club

By virtue of its responsibility for the scheduling of commercial bank debt has been involved primarily with the heavily indebted commercial borrowers concentrated mainly in Latin America and Asia. It works to reduce developing countries immediate debt servicing burdens.

Current Relationship

- There is no relationship with Zimbabwe as there has been no rescheduling of debt payments or provision of debt.
- The London Club provides assistance to third world countries.
- The London Club counter club the Paris Club is the one which has offered assistance to Zimbabwe because it is the one that is most concentrated on helping Sub-Saharan African Countries.

Question:

- **What is the effect of the mid-term fiscal policy review statement on the current state of affairs in relation to public funds/finance in Zimbabwe?**

The fiscal review statement is done and presented by the Minister of Finance and Economic Development with the help of several ministers from different sectors of the economy, economic advisors as well as various portfolio committees. This document amongst others

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is prepared in accordance to Section 7.2 (a) of the *Public Finance Management Act (2003)* which states that, "The minister responsible for finance shall provide full and transparent accounts from time to time and not less than annually to parliament indicating the current and projected state of the economy, the public resources of Zimbabwe and the fiscal policy of the government." Following the presentation of the national budget and allocation of funds to the various sectors within the economy and setting target growth rates and key development areas, the Minister of Finance is therefore responsible for reviewing economic performance and progress in relation to the set targets after the first six months of the year.

According to *Brooks (2012),* fiscal policy is the means by which a government adjusts its spending and taxation to monitor and influence macro-economic conditions such as unemployment, exchange rates, export and import and balance of payment. The two main fiscal policy instruments are government expenditure and taxation. Public funds is the money that belongs to a local or national government which is available for public spending. It is also referred to as funds of every political division of a state where in taxes are levied for public purposes.

The purposes of the review as given by the *Fiscal Review Statement (2016)* are:

- To give parliament the opportunity to consider necessary budget interventions to realign the fiscal thrust
- To give progress on the ongoing reengagement process with the international financial community, for example, International Monetary Fund, World Bank and the African Development Bank amongst others
- To take stock of economic development in the first half of the year and to assess progress with implementation of the national budget.

According to the *Fiscal Policy Review Statement September 2016* revenue leakages at the country's border posts remain a major challenge, depriving the country of much needed revenue. Such leakages are through the connivance amongst ZIMRA officials, travellers, touts and other individuals. The use of fake documents, false declarations and connivances mentioned above are to allow entry of goods into the country without paying the requisite

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duty levels. However, the government has made several efforts to fight corruption and hence revenue collection. Some of these efforts include:

- Use of hotline and social media access points
- Whistle blower facility
- Use of imaging laptops which will be used to trace activities at the border posts
- Installation of CCTVs in the outdoor areas

This has seen the prosecution of perpetrators of corruption during the first half of 2016, twenty-two cases of suspension being dealt with of which thirteen were finalised with four dismissals and nine final written warnings issued. The above efforts have contributed to a 9.4% increase in revenue collections.

Excessive borrowing by the government means the country cannot source funds from lenders therefore narrowing the fund base available for use. It has also led to poor performance of the private sector. Government borrowing have since scared away foreign investors from the country thus compromising infrastructure development, creation of employment and also depriving the country of income through taxes and duty.

The Zimbabwe Debt Management Office reported the country's external debt at USD$7.5 billion as at 31 June 2016. This level of debt is weighing heavily on the country's development needs and will continue to have a negative impact on the country's ability to reduce poverty levels. This has resulted in deterioration of relations with major creditors thereby inhibiting access to finance. The government continues to try efforts on international re-engagement by settling the country's chunk of arrears. The Minister did not mention the promised $1billion from the Lazard bank and AfreximBank which was meant for settling arrears. He however mentioned the Arrears Clearance Programme targeted at external debt payment comprising firstly of firstly the US$601 million arrears to the AfDB, US$110 million with the IMF, and US$1.1 billion with the World Bank. According to the 2017 budget, Zimbabwe settled the IMF obligations of US$107.9 million on 20 October 2016. This has resulted in the removal of sanctions related to remedial measures applied on account of overdue financial obligations to the Poverty Reduction and Growth Trust.

However, The Zimbabwean (2016) commends the efforts by the International Community which has stood by Zimbabwe. In 2016, total Development Partner support is projected at

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$474.4 million. Already $193.2 million was disbursed between January and June 2016, of which $73.8 million is from bilateral partners while $119.4 million is from multi-lateral partners.

As shown in the table below, targeted total expenditure for the six months to June 2016 were USD$2.007 billion whereas the actual total expenditure incurred during that period amounted to USD$2.316 billion giving an over expenditure of USD$308.4 million.

Item	Jan		Feb		Mar		April		May		Jun		Total		
	Target	Actual	Target	Actual	Target	Actual	Target	Actual	Target	Actual	Target	Actual	Target	Actual	Variance
	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m	US$m
Employment Costs	247	327	246	271	276	261	278	295	310	314	291	171	1,646	1,638	(8.1)
Operations & Maintenance	28	24	29	44	34	28	30	35	30	40	34	46	187	216	29.3
Interest	10	5	5	5	17	15	4	3	10	13	11	11	57	54	(2.9)
Capital Ex-penditures	3	2	8	88	7	44	35	39	32	96	32	138	116	407	290.1
Total Expendi-tures & Net Lending	288	357	288	407	335	348	346	371	382	464	368	366	2,007	2,316	308.4

The statistics above show that public funds available for use at the end of six months ending June 2016, are inadequate and it gives the government an insight whether to reduce unnecessary spending, source funds or seek donations.

➢ The civil service wage bill gobbled 97 percent of the total revenue and therefore the minister took a brave decision by announcing several measures to further rationalise staff costs. The salient highlights of the Mid-Term Fiscal Policy Statement (2016) include the audacious proposal to cut 25 000 jobs by December 2017, saving $155 million annually; lower the salaries and allowances of ministers and senior bureaucrats by between 5% and 20%; taxation of civil servants' allowances; suspension of bonus payment for 2016 and 2017 which would translate into savings of about $180 million per annum. In the 2017 budget the provision for employment costs was pegged at US$3 billion representing a decline from the estimated US$3.14 billion to year end 2016.

The financial services sector was said to be in a sound and stable position although cash shortages are still persisting due to the fiscal pressure. The Zimbabwe Asset Management

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Company (ZAMCO) acquired non-performing loans for banks which gave breathing space to the banking sector. The Zimbabwean (2016) states that most banks are however, are still heavily exposed to Treasury Bills and hence cannot meet demand deposits. Consequently, the fiscal deficit was projected to end the year at US$1 billion. The rising fiscal deficit has dire implications for domestic indebtedness as it is largely financed through domestic debt through the issuing of treasury bills potentially affecting the financial sector sustainability. The minister mentioned the institution of the export incentive scheme in the form of bond notes supported by the facility from the AfreximBank. However, there was fear of resistance by the public which resulted in the government being cautious on the introduction of the surrogate currency into the system. Already the US dollar has been vanishing in the system starting with the largest note denominations. This is an ideal reflection of the Gresham's Law in economics which states that, ***"Bad money drives out good money."***

The increase in imbalances in both the domestic and external sectors is most worrying. The domestic economy is characterised by a widening budget deficit while the foreign sector continues to be weighed by an equally widening current account deficit. This all leaves the economy of Zimbabwe in a real bad shape. The review will help correct some of the imbalances in the economy.

QUESTION:

From your own understanding what is the primary purpose of the Public Finance and Management Act. Explain in your own understanding with reference to particular sections of the Act. [25]

The Public Finance Management Act is an Act of Parliament that serves as a guideline for any and all public funds of the country. It covers all aspects of public funds from revenue collection, sourcing, allocation, control and custody, as well as the reporting manner and a

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review of the management of these public funds. In simple terms, the PFMA is the governing document that is meant to be used by the government as a guide for all public funds.

The primary objective of the Act is given in Section 3 as 'to secure transparency, accountability and sound management of the revenue, expenditure, assets and liabilities of any public entities.' Section 4 goes into further detail to describe the entities to which the act applies, these include: government ministries, statutory funds, constitutional entities and public entities.

In order to give a specific and detailed guideline to the relevant authorities, on all aspects of public finance, the Act is divided into ten parts, each dealing with a specific element of public finance, from Treasury to Financial statements to the National Budget. The act stipulates how public resources are to be allocated amongst all divisions of the government (ministries, public entities, etc.) and this allocation is done through consultations and advice from the involved ministries (Section 7). The Act entails within it duties and powers of the Finance minister, the role of Treasury in management and control of public resources, management of the consolidated revenue Fund, the appointment and role of the Accountant General, the national budget, protection and recovery of public resources, preparation of government financial statements in line of GAAP, securing and repaying loans by the government, audit of public funds, how to handle misconduct of any accounting officers responsible for public funds.

Treasury (Section 6)

The main role of treasury as stated in Section 6 (1) of the Act is to manage the consolidated revenue Fund. Treasury is responsible for the movement (deposits and withdrawals) of monies from the fund and their subsequent allocation to each ministry as and when needed. Treasury also has the duty of 'determining the manner in which public resources shall be

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accounted for' (Section 6 (1) b) as well as giving a general direction and control over public resources.

Duties and Powers of the Minister (Section 7)

The Finance Minister being primarily responsible for all public funds is entrusted with many duties as stated in Section 7 of the PFMA, some of which include:

To develop and implement a macroeconomic and fiscal policy for Zimbabwe

Advise government on the allocation of public resources

Presentation of the national budget

The Minister is entrusted by the President and the Parliament with all the State Coffers and is therefore at the forefront of all economic matters in the country. He or she also ensures full and transparent accounts are from time to time and not less than annually made to Parliament indicating the current and projected state of the economy, the public resources of Zimbabwe and the fiscal policy of the Government .

Accountant General (Section 9)

The act gives power to the accountant general according to Section 9 to refuse payment on any Voucher in support of charge on the Consolidated Revenue Fund which is defective or contravenes it in anyway. Again he/she must provide a written report in any apparent defect in the control of revenue, expenditure, cash stores, and other public resources in the care of any Ministry, reporting unit or statutory fund and any breach or non-observance of regulations, Directions or instructions pertaining to such public resources, which may come or be brought to his or her attention.

The act also provides for the appointment and responsibilities of the Accountant General and his/her staff. The roles are clearly specified in Section 9 of the Act. The Accountant General is appointed by the President on the Public Service Commission's recommendation and is supposed to serve for a term of five years in the office and on such other terms and such conditions as shall be specified in the appointment. He/she shall be a senior professional accountant or auditor and a registered Public Accountant or Auditor.

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This is according to the Public Accountant and Auditors Act [Chapter27:12]. The Accountant General shall be answerable to the Secretary for the compilation and management of public accounts and the custody and safety of public resources. Moreover the Accountant General specify for each and every Ministry reporting unit or statutory fund, the basis of the accounting system to be adopted and the classification system to be used, as well as ensuring the proper system of accounts to be established in each of them. Having a qualified person in this position would help the government in trying to achieve its object of producing timorous and reliable accounts thereby improving accountability.

The National Budget (Section 28)

The national budget can be described as an initial proposal of revenue and expenditure of a government for a given year or period in line with its policies and priorities. It is presented by the Finance Minister before The House of Assembly not earlier than thirty days before or not later than thirty days after the start of the forthcoming financial year.

Preparation of Financial Statements (Section 37)

The Act also provides a guideline on how financial statements of government/public entities must be prepared and presented according to Generally Accepted Accounting Standards, to ensure comparability and transparency within the government. The financial statements must be accompanied by annual reports and any notes with disclosures showing any information that could affect the financial results (for example any abnormal expenditure incurred) that have been published.

Dealing with misconducts (Section 88)

Occurrence of misconduct among workers in an organisation is most likely. .Misconduct is when the Accounting Officer of any ministry negligently fails to comply with certain laid rules in accordance with section10 and part IV for accounting authorities of public entities, as stated in Section 85 of the Act. The Act gives guidelines on prosecutions of people alleged of financial misconducts, under Section 88. This helps the public service exercise their role of supervision of employees as well as give employees knowledge on how to deal with issues pertaining to their duties.

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Functions of the Internal Auditor (Section 80)

The Public Finance Management Act has another primary purpose of stating the duties of the internal auditor. The Public Service Commission may appoint an officer of the Public Service as an internal auditor to any Ministry or any reporting unit of a Ministry, this is done to assist the Treasury in carrying out the duties referred to in section 6. The functions of an internal auditor is to monitor the financial administration and procedures of the Ministry or reporting unit concerned to ensure that:

(i) Proper accounting and bookkeeping transactions and procedures are carried out

(ii) Proper accounting records are maintained

(iii) Adequate internal checks and controls are observed

(iv) Assets under the control of the Ministry or reporting unit are properly accounted for.

When an Internal Auditor is performing his or her functions, he or she shall have free access at all reasonable times to any records, books, vouchers, documents and public resources under the control of the Ministry or reporting unit concerned. The auditor shall also have direct access to the accounting officer of the Ministry or reporting unit concerned. Whenever an internal auditor has completed any internal audit programme, he or she shall prepare a report on the financial administration and accounting system in the Ministry or reporting unit to which he or she has been appointed, and may include in such report any instances of hindrance or obstruction he or she has encountered in the discharge of his or her duties, and shall transmit copies of such report to the accounting officer, the Treasury and the Comptroller and Auditor-General.

Conclusion

Conclusively the Public Finance Management Act enables a smooth transition of changes in the government. The Act shows how public resources are managed to avoid

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manipulation by those in control. This also benefits the Economy as a whole as funds are clearly accounted for and there is transparency in every transaction.

QUESTION:

- **What are the roles of the constitution in the management of public funds make reference to particular sections in the constitution. [25]**

Constitution is the supreme law of the land which provides fundamental principles or precedents according to which a state or an organization is governed. According to Richards, (2013) Public Funds is expenditure used by the government to provide goods and services to the public whereas, Section 302 of the Constitution of Zimbabwe (2013, defines public funds as that which is held in the Consolidated Revenue Fund (CRF).The CRF is the national account into which all fees, taxes and borrowings and all other revenues of the government are paid .The constitution provides the basis for the management of public funds by establishing offices that are tasked with management of public funds. The constitution governs how the public resources are allocated and accounted for by the executive. The constitution also provides offices and roles in relation to public financial management

In order to attain proper management of these funds the government drafted a constitution as a framework of public financial management in the provisions of section 298 (1*)* which stipulates the following principles to guide all aspects of public money in Zimbabwe:

Principles of public finance in Zimbabwe (sec 298)

The constitution indicates the principles to be adhered to in public funds governance and administration. Section 298 states that, there must be transparency and accountability in financial matters. The public finance system must be directed towards national development and in particular

- The burden of taxation must be shared equally

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- Revenue raised nationally must be shared equally between central government and provincial and local tiers of the government.
- Also expenditure must be directed towards the development of Zimbabwe and special provisions must be made for marginalized groups and areas.

Public funds must be expended transparently, prudently, economically and effectively. Public borrowing and transactions involving national debt must be carried out transparently and in the best interests of Zimbabwe.

.Accountability

Section 308 (1) of the Constitution requires every person who has custody or control of public property to safeguard the property and ensure that it is not lost, destroyed, damaged, misapplied or misused; and that every custodian of public money to safeguard the funds and ensure that they are only spent on legally authorized purposes and in legally authorized amounts. The Constitution ensures greater accountability by the state and institutions and agencies of the government at every level by ensuring that the executive's and legislature's powers are capable of judicial review, Section 167 (2) (d). Section 15 of the Public Finance Management Act provides that every minister lay before Parliament his or her annual reports.

Transparency

The constitution requires all the transactions involving public funds to be performed above the board to ensure that transparency prevails. In section 298(1), there must be a clear movement of Public Funds. Every Zimbabwean citizen or permanent resident, including juristic persons and the Zimbabwean media, has the right to access any information held by the State or by any institution or agency of government at every level, in so far as the information is required in the interests of public accountability

Fair Collection of Public Funds

The Constitution provides that no taxes may be levied except under the specific authority of the Constitution and an act of Parliament (Section 298 (2). It further states that the

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burden of taxation must be shared fairly. For instance on the issue of income tax all companies are charged a flat rate of 15% income tax on profit regardless of the amount of profit earned or the size of the company . Therefore government prohibits the unfair collection of funds from the public and also strictly protect the public from being swindled their hard earned money by bogus leaders.

Explains the role of Parliament

The Constitution provides that parliament monitor and oversee expenditure by the state and all commissions, institutions and agencies of government at every level, including statutory bodies, government-controlled entities, and local authorities (Section 299). The Parliament exercise this power to ensure that all revenue is accounted for, that all expenditure has been properly incurred and that any limits and conditions on appropriations have been observed. Parliament authorises expenditure from the Consolidated Revenue Fund in accordance with the provisions of section 305 of the Constitution. Each year the Finance Minister is required to present to Parliament a statement of the estimated revenues and expenditures of government in the next year. Section 307 (1) provides that if more money had been expended on a purpose than was appropriated to it by Parliament, then the Finance Minister must introduce a bill in the National Assembly seeking condonation of the unauthorised expenditure. Such a bill must be introduced into the National Assembly without delay and in any event no later than 60 days after the extent of the unauthorised expenditure had been established.

An equitable allocation and expenditure of funds at the basis of national interest

Section 301 of the Constitution provides for the allocation of revenues where it states that an act of Parliament must provide for the equitable allocation of public funds between provincial and metropolitan councils, local authorities and any other allocations to provinces and local authorities, and any conditions on which those allocations may be made. The act referred to in section 301 (1*)* must take into account, amongst other factors: the national interest; any provision that must be made in respect of the national debt and

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other national obligations; the needs and interests of the central government as opposed to individual benefits and also the need to provide basic services such as educational and health facilities to marginalized areas. Section 301 (3) also requires that not less than 5% of the national revenues raised in any financial year must be allocated to the provinces and local authorities as their share in that year.

Appropriate Use of Public Funds

The government through the constitution encourages appropriate use of public resources to ensure that every citizen benefits. According to Section 254 of the Constitution deals with the establishment of the Zimbabwe Anti-Corruption Commission to deter misuse of public funds. The functions of Zimbabwe Anti-Corruption Commission provided in section 255 are to investigate and expose cases of corruption in the public and private sectors, combat corruption, theft, misappropriation, abuse of power and other improper conduct in the public and private sectors all in a bid to cultivate an appropriate use of public resources.

Efficiency on the use of public funds

The role of the constitution is to make sure that public funds are expended on the right thing in the right manner as intended. Section 6 provides that the Comptroller and Auditor-General shall, on behalf of the House of Assembly, audit the accounts of any public entity, or designated corporate body. It may also carry out examinations into the economy, efficiency and effectiveness with which any ministry, public entity, local authority, designated corporate body, statutory fund or other body have used public resources in discharging their functions.

State borrowings

The constitution through the act of parliament manages and has control over state borrowings, public debt and State guarantees. Section 300, there is need for an Act of Parliament to set limits on borrowings by the State, the public debts and obligations whose payment or repayment is guaranteed by the State. These limits must not be exceeded

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without the authority of the National Assembly. In order to have effective control over state borrowings, section 300(4) of the constitution requires Minister of finance to at least twice a year report to Parliament on the performance of loans raised by the state and loans guaranteed by the state.

Disciplinary measures to prevent financial misconduct

The constitution also provides disciplinary measures to be undertaken whenever there is mismanagement of public funds by individuals. According to Section 255 (3) The Government must ensure, through legislative and other means, that the Zimbabwe Anti-Commission has the power to recommend the arrest and secure the prosecution of a persons reasonably suspected of corruption, abuse of power and other improper conduct which falls within the Commission's jurisdiction. Section 14 of the Prevention Of Corruption Act (POCA) states that a "corrupt practice" includes any direct or indirect misappropriation or loss of property caused by theft, fraud or other unlawful means. Further, it states that any person who, without lawful excuse, prevents any other person from giving information concerning any corrupt practice is guilty of an offence and liable to a fine not exceeding level seven and or to imprisonment for a period not exceeding two years.

Conclusively, the constitution has proved to be the roadmap and yardstick that obligates the state to adopt and implement policies and laws to develop efficiency, competence, accountability, transparency, personal integrity, financial probity and eradicates all forms of corruption concerning the management of public resources in all institutions and agencies of government at every level

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QUESTION:

- **What is an Appropriation bill, explain the process involved in making it an effective document. [25]**

An appropriation bill is a legislative motion (bill) that authorizes the government to spent money. It is a bill enacted by the parliament and president of Zimbabwe to charge the consolidated revenue fund with estimated expenditure required for the services of Zimbabwe of the next financial year. Subject to section 17(5) of the public finance management act (Chapter 22:19) (N0. 11 of 2009), the money appropriated shall be applied to the services detailed in the schedule and those particularly specified in the supplementary estimates of the expenditure.

A budget is prepared before the beginning of the financial year in question. Circumstances that influence costs and content of public services to be provided during the following financial year are to a large extent difficult to predict hence accurate provision of money required is not possible. A series of estimates have to be submitted during the financial year which consist of

i) **Part appropriation bill;** This bill takes up to three or four months. The bill is mainly for the payment of salaries and other overheads but not capital expenditure. The capital expenditure waits until the approval of the main budget.

ii) **The appropriation bill (main budget);** this is the political policy for the current financial year and is expressed in monitory terms. It is issued in June of the financial year. Other appropriation bills are only supplementary to the main budget.

iii) **The supplementary appropriation bill;** this is a Bill to overlook unauthorized expenditure incurred during a financial year to accommodate higher expenditure than that provided for in the current budget. The Supplementary bill caters for situations where *the original estimate has proved inadequate* and unbudgeted expenditure is unavoidably incurred.

iv) **Additional bill,** if the money appropriated to a purpose under an Appropriation Act is insufficient or if the expenditure is needed for a purpose for which no money has

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been appropriated, the Minister responsible for finance must cause an Additional Estimate to be presented to the National Assembly

. The following is the process involved in making an appropriation bill an effective document.

1) The Minister of Finance circulates a circular to all the Ministries to furnish his Ministry with the estimates of expenditure for the next year's national budget. Treasury consolidates all the estimates of expenditure from all the Ministries and makes some reasonable adjustments where it is necessary. The adjustments of the estimates are done so as it known that other Ministries are capable of causing unjustified extension in their activities, with resulting extension to their budget requests. This circular is usually sent to the Ministries in September for the formulation of the pre- budget strategy statement.

▪

2) The whole house review and give its recommendations about the presented estimates of expenditure. The committee has the powers to amend and seek justifications of the estimates of expenditure of the appropriation bill. The whole house constitute of the House of Assembly and house of Senate. House of assembly is the first to view the appropriation bill and scrutinize it thoroughly and lay down its recommendations about the presented bill. House of Senate is given its opportunity to scrutinize the appropriation bill and also give its sediments about the bill. House of Senate has no power to increase the expenditure. In event the House of Senate rejects the bill the House of Assembly will forward the bill to the President for approval. The main task for House of Senate is recheck and review what the Parliament's work for perfection but most time house of Senate rubber stamp the work of the House of Assembly.

3) Statutory authorization is peculiar to the House of Assembly. Each line item, figures must be fully authorized separately for example employment cost, rentals, domestic and foreign allowance etc. finance Act may be used to collect taxes, fees in the current year using current rates. The head of state also form part of the house of assembly and he is there to approve the appropriate bill.

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4) Minister presents the statement of revenues and expenditures in the house of Assembly. According to section 305(1) of the constitution of Zimbabwe, Every year the Minister of finance present to the National Assembly a statement of revenues and expenditures of the Government in the next financial year. Section(305)(4) When the National Assembly has approved the estimates of expenditure for a financial year, other than expenditure that is specifically charged on the Consolidated Revenue Fund by this Constitution or an Act of Parliament, the Minister responsible for finance must cause a Bill to be known as an Appropriation bill.

-
- Appropriation Bill to be introduced into the National Assembly and that Bill must provide for money to be issued from the Consolidated Revenue Fund to meet the approved expenditure; and appropriate the money to the purposes specified in the estimates, under separate votes for the different heads of expenditure that have been approved. Its purpose is mainly to provide Parliamentary authority for the funding of the services of Zimbabwe which include the functioning of the legislature, executive, judiciary, constitutional commissions and governmental operations.
- The Appropriation Bill submitted to Parliament as a proposal and is referred to as a White Paper when it is approved then it becomes the Blue Book. It is necessitated by the Constitution, which lays down the basic constitutional principle that all official revenues such as fees, taxes and proceeds of borrowing go into the Consolidated Revenue Fund [CRF] and that no money may be withdrawn from the CRF unless the withdrawal has been authorised by the Constitution itself or by an Act of Parliament.
- The Bill for the annual Appropriation Act can only be introduced into the National Assembly after the Assembly has approved the Estimates of Expenditure to which the Bill will give effect. It is necessitated by the Constitution, which lays down the basic constitutional principle that all official revenues such as fees, taxes and proceeds of borrowing go into the Consolidated Revenue Fund [CRF] and that no money may be withdrawn from the CRF unless the withdrawal has been authorised by the Constitution itself or by an Act of Parliament. The Bill for the annual Appropriation Act can only be introduced into the National Assembly after the Assembly has approved the Estimates of Expenditure to which the Bill will give effect. The Bill follows the customary form for an Appropriation Bill, with

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a Schedule summarising the expenditure proposed to be met from the Consolidated Revenue Fund.

- An example of the appropriation Bill is as follows:
  -

APPROPRIATION ACT, 2017

PRESENTED BY THE MINISTER OF FINANCE

BILL

To apply a sum of money for the service of Zimbabwe during the year ending on the 31st December, 2017.

ENACTED by the President and the House of Assembly.

1 Short title

This Act may be cited as the Appropriation Act, 2017.

2 Interpretation

In this Act—

"Estimates of Expenditure" means the Estimates of Expenditure for the year ending 31st December, 2017, submitted to and passed by the House of Assembly;

"Vote" means a vote appropriation for the year ending on the 31st December, 2017, as specified in the Estimates of Expenditure.

3 Consolidated Revenue Fund charged with US$3 426 289 000

The Consolidated Revenue Fund is hereby charged with such sums of money as may be required for the service of Zimbabwe during the year ending on the 31st December, 2017, not exceeding in aggregate the sum of three billion, four hundred and twenty six million, two hundred and eighty-nine thousand United States dollars.

4 Application of moneys granted

Subject to section 17(5) of the Public Finance Management Act [Chapter 22:19] (No. 11 of 2009), the moneys appropriated shall be applied to the services detailed in the Schedule and more particularly specified in the Estimates of Expenditure.

5 Power of Minister of Finance to authorise transfers between Votes

(1) Where, in the case of any moneys appropriated by section 3 in respect of a particular Vote set out in the Schedule which are to be applied in terms of section 4 to any particular service specified in the Estimates of Expenditure, the administration or provision of such service is assigned to a different Ministry, the Minister of Finance and Economic Development may direct that any portion of the moneys appropriated in respect of the first-mentioned Vote be transferred to such other Vote as relates to the Ministry to which the administration or provision of the service concerned has been assigned.

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(2) In the case of moneys appropriated by section 3 in respect of subhead I.F. Unallocated Reserve of Vote 5, the Minister of Finance and Economic Development may direct that any of the moneys so appropriated be transferred to the Vote of any other Ministry for the purpose concerned, and any moneys so transferred shall not be applied for any other purpose:

Provided that, if any moneys so transferred are not required for the purpose concerned, the Minister of Finance and Economic Development may direct the transfer of the moneys back to subhead I.F. Unallocated Reserve of Vote 5.

(3) Moneys transferred in terms of subsections (1) and (2) shall be accounted for as if they had been appropriated by section 4 to the Vote to which they are so transferred, and shall be deemed to have been so appropriated.

SCHEDULE (Section 4)

EXPENDITURE TO BE DEFRAYED FROM CONSOLIDATED REVENUE FUND

Vote No.	*Designation*	*Supply Grants US$*
1	*Office of the President and Cabinet*	*175 643 000*
2	*Parliament of Zimbabwe*	*39 713 000*
3	*Public Service Labour and Social Welfare*	*193 789 000*
4	*Defence*	*340 522 000*
5	*Finance and Economic Development*	*206 374 000*
6	*Office of the Auditor General*	*206 374 000*
7	*Industry and Commerce*	*18 547 000l*
8	*Agriculture Mechanisation and Irrigation Development*	*292 696 000*
9	*Mines and Mining Development*	*5 395 000*
10	*Environment , Water and Climate*	*40 100 000*
11	*Transport and Infrastructural Development*	*55 838 000*
12	*Foreign Affairs*	*32 473 000*
13	*Local Government, Public Works and National Housing*	*49 707 000*
14	*Health and Child Care*	*281 976 000*
15	*Primary and Secondary Education*	*803 771 000*
16	*Higher and Tertiary Education Science and Technology Development*	*266 703 000*
17	*Youth Indigenisation and Empowerment*	*17 192 000*
18	*Home Affairs*	*364 308 000*
19	*Justice, Legal and Parliamentary Affairs*	*91 379 000*

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20	*Information Media and Broadcasting Services*	*3 329 000*
21	*Small and Medium Enterprises and Cooperative Development*	*6 131 000*
22	*Energy and Power Development*	*6 288 000*
23	*Women's Affairs, Gender and Community Development*	*8 434 000*
24	*Tourism and Hospitality Industry*	*2 674 000*
25	*Information Communication Technology, Postal and Courier Services*	*6 355 000*
26	*Lands and Rural Resettlement*	*7 642 000*
27	*Judicial Services Commission*	*14 099 000*
28	*Public Service Commission*	*18 744 000*
29	*Sport and Recreation Commission*	*4 319 000*
30	*Macro-Economic Planning and Investment Promotion*	*5 927 000*
31	*Welfare Services for War Veterans, Former Political Detainees and Restrictees*	*22 080 000*
32	*Rural Development, Promotion and Preservation of Culture and Heritage*	*15 751 000*
33	*Council of Chiefs*	*3 130 000*
34	*Human Rights Commission*	*1 951 000*
35	*National Peace and reconciliation Commission*	*1 149 000*
36	*National Prosecuting Authority*	*3 636 000*
37	*Zimbabwe Anti-Corruption Commission*	*2 180 000*
38	*Zimbabwe Electoral Commission*	*9 761 000*
39	*Zimbabwe Gender Commission*	*1 105 000*
40	*Zimbabwe Land Commission*	*1 546 000*
41	*Zimbabwe Media Commission*	*670 000*
	TOTAL	***3 426 289 000***

SUPPLIMENTARY APPROPRIATION BILL

This is a Bill to overlook unauthorised expenditure incurred during a financial year to accommodate higher expenditure than that provided for in the current budget. The Supplementary bill caters for situations where *the original estimate has proved inadequate*

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and unbudgeted expenditure is unavoidably incurred. It is enacted on the basis of section 306 (1) (b)

Where the Government's original expenditure budget is inadequate for meeting its objective or if more money is needed for a purpose of which no money has been appropriated. Supplementary appropriation provides additional funds to appropriations already divided into the fiscal budget of Zimbabwe. They are added while the fiscal year is already in progress, and are generally used for the needs that were not projected; they include emergencies like recession, disaster or defence. If the minister is satisfied that certain expenditure is likely to be incurred in a financial year upon service thereby causing an excess on the sum provided for that service by the Appropriation Act relating to that year and circumstances are such that the expenditure cannot without injury to the public interest be postponed until adequate provision is made by the parliament. Also purpose of the supplementary Appropriation Bill is to incorporate expenditure not included in the Appropriation Bill but announced in the Budget Speech as being part of the proposed expenditure. Expenditure for salaries, social services and allowances may be part of the Bill. Since the Appropriation Bill is only a draft it then can be amended by the Supplementary Appropriation Bill. The Blue Book will therefore contain figures greater than those in the initial White Paper.

An example of a supplementary appropriation bill is the one which was presented in the 2016 National budget by **Hon. P. A. Chinamasa, MP who is the Minister of Finance and Economic Development which arose from his declarations that** some Votes for the 2015 Budget will incur additional expenditures over and above originally approved appropriations, necessitating revision of the 2015 Budget. This resulting in the additional provisions amounting to US$253 million which were required to cater for inescapable expenditures relating to:

- Crop inputs support, US$10 million;
- Employment costs, U$36.8 million;
- Procurement of grain, US$42.6 million;
- Tokwe Mukosi dam, US$55 million; and

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Operational requirements for line Ministries, US$108.6 million.

ADDITIONAL APPROPRIATION BILL

As highlighted in the act Section 305 (5) of the Constitution states that if the money appropriated to a purpose under an Appropriation Act is insufficient or if the expenditure is needed for a purpose for which no money has been appropriated, the Minister responsible for finance must cause an Additional Estimate to be presented to the National Assembly. If the National Assembly approves the Estimate, the Minister must cause an Additional Appropriation Bill to be introduced into the Assembly providing the necessary resources for the necessary money to be issued from the Consolidated Revenue Fund. The Parliament session ends in March of each year and any additional expenditure incurred after the submission of the appropriation Bill must be included in the Additional appropriation Bill, is then submitted at the end of the financial year.

The Additional Appropriation Bill may be used to budget for new services and or to obtain provisional approval for a new policy, which will be fully implemented during the next financial year. The bill comes from the first and second Revised Budgets submitted by accounting officers to Treasury during a financial year. The revised budget enables Treasury to compile the Additional Appropriation Bill. The revised budgets are working papers only thus are not submitted to Parliament for consideration and approval. Ministries are required to submit their first revised estimates to treasury in March each year. Full explanations for any variances to the budgeted figures must be given. After the First revision, Treasury will also need a second revision towards the end of June.

The amounts in the second revised budget are compared with those of the first revised budget. Variations again have to be fully explained to the satisfaction of Treasury before allocations can be included in the Additional Appropriation Bill. The way to allocate funds is done through the Additional Appropriation Bill is tabled in Parliament a few days before it is considered. Discussions are limited to the reasons for any increased demand for funds except where a new service is involved. The Act passed is termed the Additional Appropriation Act

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QUESTION:

- **What are the Campion's four rules for financial procedures, what are their relevance to Zimbabwe? [25]**

Financial procedures refer to the financial cycle that is, how a budget is prepared, compiled, submitted and implemented. It also refers to a process of quantifying the needs of the locals or national citizens into figures. Before expenditure is undertaken a budget has to be set up. In order to explain the budgetary procedures Campion developed the four rules for the smooth operation of the Parliament. Drury (2001) says budgeting is concerned with the implementation of the approved programs with the long range plans and capital budgets.

The first rule is the prerogative of the executive. According to King, S.A (1974) financial issues are the prerogative issues and initiatives of the executive. The purpose is to get the Parliament to work effectively and efficiently. The State President's approval is required before taxes or expenditure are considered in the Parliament. Under this rule the Treasury sends out a circular to all accounting officers. The circular will contain a notice to accounting officers stating the date on which the various estimates must be submitted to the Treasury, an instruction on the language to be used on the draft estimates and specific directions about the content of the estimates.

Glynn (1993) said the Minister of Finance and a budget committee sits to deliberate and make recommendations of the most affordable and applicable budget after the estimates have been submitted to the Treasury which then compile the draft estimates. According to Zvoma (2005) the mandate of budget committee is to participate in the formulation of the national budget, scrutiny of the preliminary draft budget and monitoring of budget implementation. The executive consist of the president and cabinet.

The following of stipulated deadlines results in proper decision making as information is timeous. The Treasury is able to comprehend and compile the draft budget more easily as the same language and format is used. The standard for the contents and limits gives a guideline to accounting officers therefore making the budget more realistic. The Treasury and Minister of Finance is assisted in recommendations of the draft budget by a committee.

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A fixed format given by the treasury's circular might however be not feasible to all ministries.

However, this rule results in deferred participation from other members since the budget has to be approved by the President. Members become hesitant to contribute their views and even if they are to identify defects on the estimates.

The second rule is the custom of the committee of the whole house. According to Zvoma (2005) the committee system in the Parliament of Zimbabwe has been evolving since 1980.When a budget is presented in Parliament discussion of the budget does not take place immediately. This gives room to the members of the Parliament to collect ammunition and study the budget. When the house goes into the committee of supply, it will focus on the estimates over expenditure from different ministries hence each member is given the chance to express his or her opinion.

The budget goes into the committee where the deputy president of the senate and the deputy speaker of the parliament will chair the session. Debate will take place on a vote to vote basis making sure that each item is voted for. The Minister of Finance will table the budget document on a white paper which contains the speech, tax proposals and comparative figures of revenue of the year ending then and following financial year.

The second rule allows the minister to present the budget without interruption thus it gives the Minister of Finance a chance to be heard. It also allows members of the Parliament to express themselves on critical or important issues. The custom of the committee of the whole is helpful in making a debate on any item thorough and clear.

The public and press are allowed to attend though the public is not allowed to vote. This helps to bring transparency and assurance that a thorough debate was conducted on each item. However, the draft budget might be too long for maximum concentration by members of the Parliament limiting people to contribute to all ministries but concentrating on one ministry which concerns them. Also, only the opposition spokesperson is allowed to trigger debate and this is a limitation as critics may only be political and not financial after all.

The third rule is the statutory authorization of expenditure. After a debate, an agreement is made on a legal basis on incurring expenditure which is statutory. The white paper which

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is the proposal become the blue book which is the approved estimates. One can act and spend money based on revenue and expenditure on it. Although funds directed for particular projects cannot be diverted to other projects. White paper means it is still a proposal that needs debate and the blue book means the estimates are approved and can be acted upon. This rule provides room for discussion therefore enhancing understanding and correction. It also gives time to analyze and criticize validly.

The fourth rule states that the budget must be approved at intervals. Intervals must be allowed at various stages of the financial legislation that is the first reading, second reading, committee stage and the third reading. These intervals allow financial matters to be debated by ordinary members and identify the defects of the budget. The budget qualifies for an approval after passing certain stages. The Campion rule states that statutory authorization's expenditure that is peculiar to the House of Assembly must be authorized separately and then the appropriation act should be produced.

According to Streeter (2007) "appropriation is a type of budget authority that provides the authority to make obligations. Appropriations must be obligated in the fiscal year for which they are provided." There are four types of appropriations that can be passed that is part appropriation bill, appropriation bill, supplementary appropriation bill and additional appropriation bill.

Part appropriation bill is prepared before the beginning of the financial year in question and approved after more than one seating. The State President is given the power to authorize the use of ten percent of the funds of the estimates as it takes time to approve the main budget. The overall figures in the original budget are not changed by part appropriation bill and the ten percent is not to cover capital expenditure but rather salaries and other overheads.

Appropriation bill is the main approved budget that makes the appropriation act. It is usually approved in June of the year in question. This bill reflects cabinet policy for the particular year. It also incorporates the funds used in the part appropriation.

The purpose of supplementary appropriation bill is to incorporate expenditure announced in the budget speech but not included in the appropriation bill. According to

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infor@nationalpriorities.org government has to respond to unanticipated situations for which there is no funding such as earthquakes, floods and hurricanes. In these cases the government has to allocate additional resources and do so in a timely manner. This type of funding is allocated through the legislation known as supplementary appropriation bill. It is also taken into parliament for discussion and authorization.

According to Section 305 (5) of the Constitution of Zimbabwe if money appropriated to a purpose under an appropriation act is insufficient or if the expenditure is needed for a purpose for which no money has been appropriated, the Minister responsible for Finance must cause an additional or supplementary estimates to be presented to the national assembly and if the assembly approves the estimates the minister must cause an additional or supplementary appropriation bill to be introduced.

Since the appropriation bill submitted to Parliament is only a draft it is referred to as a white paper. When the appropriation bill is approved it then becomes the blue book. The blue book can be amended by the supplementary appropriation bill. According to OECD (2008) the two main reasons why countries adopt supplementary budgets are because of new policies or changed circumstances.

This additional appropriation bill is submitted at the end of the financial year as it takes into account additional expenditure incurred after the submission of the appropriation bill. This bill is formulated from the revised budgets made by accounting officers. These bills are then used when the treasury is compiling the additional appropriation bill.

These revised budgets should contain full explanations on the variances to the budgeted figures. Variances should be explained in full to the satisfactory of the treasury before such changes are incorporated to the additional appropriation bill. The additional appropriation bill after preparation is tabled in Parliament a few days before it is considered. Parliament discusses this new bill though their discussions are limited to reasons for any increased demand for funds except where a new service is involved. The bill is then passed into an Act.

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Question:

- **Government should prepare its financial statements in accordance with "Generally Accepted Accounting Standards." Identify the standards and in your own opinion discuss their applicability. [25]**

In this essay the writer is going to identify the standards that are applied by the government of Zimbabwe in preparation of its financial statements in accordance with Generally Accepted Accounting Standards as prescribed by Public Finance Management Act (chapter 22:19) Sec 37 and give an account of their applicability in Zimbabwe.

The government of Zimbabwe uses International Public Sector Accounting Standards (IPSAS) when preparing its financial statements in accordance with Generally Accepted Accounting Standards. The government of Zimbabwe is made up of central government and local government. Central government is made up of ministries such as Ministry of Finance and the local government is made up of municipal council, town council and rural district councils.

Central government of Zimbabwe uses cash basis of accounting and local government uses accrual basis of accounting. The cash basis of accounting recognizes transactions and events only when cash (including cash equivalents) is received or paid by the entity. Financial statements prepared under the cash basis provide readers with information about the sources of cash raised during the period, the purposes for which cash was used and the cash balances at the reporting date. The measurement focus in the financial statements is balances of cash and changes therein. Notes to the financial statements may provide additional information about liabilities, such as payables and borrowings, and some non-cash assets, such as receivables, investments and property, plant and equipment.

Cash-Basis IPSAS (Financial Reporting under the cash basis of accounting) is applied by the central government such as ministry of Finance in preparation of its financial statements according to the report of Audit General (2016). Financial statements under cash basis accounting consist of statement of cash and payments, accounting policies and explanatory notes and comparison of approved budget and actual amounts on a comparable basis when the approved budget is made available to the public. The statement of cash and receipts

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recognizes all cash receipts, cash payments, and cash balances controlled by the government. The accounting policies and explanatory notes should include descriptions, detailed scheduled, and analysis of amounts shown on the face of the statements.

The standards also requires the disclosure of any cash balances held by the government at the reporting date that are not available for use by the government or are subject to external restrictions. The standard requires the controlling entity to issue consolidated financial statements which consolidated all controlled entities applying most of the requirements of IPSAS 6 (Consolidated and Separate Financial Statements).

IPSAS 6 requires the controlling entity to prepare consolidated financial statement using uniform accounting policies for like transactions and events in similar circumstances and that the reporting dates of controlled entities cannot be more than three months different from reporting date of the controlling entity.

If the entity makes its approved budget available to the public, most of the requirements of IPSAS 24 can be applied, including an explanation of material differences between the budget and actual amounts and explanation of the cause of the differences.

The standard applies to Zimbabwean system. Notes and explanatory notes that are required by the standard are included in the statement of financial performance. They give detailed information about the sources of cash receipts recognized on the face of the statement as well as cash payments incurred.

According to section 28 of the Public Finance Management Act (Chapter 22:19) the estimates and expenditure should be submitted to the Parliament. Once approved, national budget for the country is prepared and made available to the public. Since Cash- Basis IPSAS standard requires the government to include both budgeted figures and actual ones if the budget is made available to the public, the same format is being applied in the preparation of statement of financial position.

IPSAS 6 also applies when preparing the consolidated statement of financial performance. Section 35(2) of the Public Finance Management Act (Chapter 22:19) lay out that every accounting officer or receiver of revenue should prepare financial statements and transmit them to the Accountant-General, within two months after the end of each financial year.

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Section 35(3) requires the Accountant- General to prepare consolidated financial statement within three months after the end of each year. It therefore follows that the requirements of IPSAS 6 are applicable to Zimbabwe since the Public Finance Management Act made the requirements mandatory.

However Cash-basis IPSAS of accounting have its own weaknesses in applying it. Some of these weaknesses are given below:

No matching of expenditure and revenues

According to Tudor and Mutiu (2006) cash based IPSAS has a number of weaknesses which include among them that, no attempt is made to match expenditure with the revenue generated. They went on to highlight that the statement of comprehensive income and statement of financial position may not give a proper picture of recent activities and present activity conditions.

Cash based IPSAS also misrepresent the true operations of the activities and incorrectly reflect the revenue generated. In the Attorney General's Office, the above issues are not addressed as there is no statement of comprehensive income and statement of financial position are prepared and presented in the financial statements.

Lack Transparency and Accountability

Ijeoma and Oghoghomeh (2014) pointed out that the persistent use of cash based IPSAS brings in lack of appropriate accountability and transparency and inadequate disclosures. This can be seen in the department of Attorney General as it cannot account properly and disclose the financial position. Assets are written off in the year of purchase and there is no valuation and depreciation is calculated on the property, plant and equipment.

The assets are written off regardless of their nature or value in the year they are purchased, which means they are treated or recorded as expenditure and cannot be identified in the financial statements. They are only recorded in the asset register showing the asset number and location only without the value or net book value or carrying amount. Although Adam *et al* (2011) opined that there are some assets which are difficult to measure for the purpose of accounting and disclosure. These include heritage, infrastructure like roads, dams and art.

Inconsistent Presentation and Disclosure

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The presentation and disclosure of the financial statements of the Attorney General's Office are just mere statements showing revenue generated or released by the Treasury and expenditure expended during the period. This accounting presentation is inconsistent with the accrual concept, presentation and disclosure as required by IAS 1 or IPSAS 1.
However Ernst and Young (2011) proffered that cash based IPSAS has the advantages in that, they are simple to use since data is taken from primary sources like bank statements, deposit books etc. This means that the preparation of financial reports takes minimal time. Cash based IPSAS financial reports can be understood by people with limited accounting knowledge and the preparation of financial statements can be done without the need to adjust entries.

Local government uses accrual basis of accounting in preparing its financial standards. It therefore follows that IPSAS of accrual accounting are the ones applied by the local government. Accrual-Basis (IPSAS) means a basis of accounting under which transactions and other events are recognized when they occur. Therefore, the transactions and events are recorded in the accounting records and recognized in the financial statements of the period to which they relate. Some of the standards applied and their applicability are as follows.

IPSAS 1 (Presentation of Financial Statements) is applied by the local authorities in preparing their financial items because it prescribes minimum information to be included in these statements. The standard is applicable in Zimbabwe because it possible to come up with Statement of financial position, statement of financial performance, statement of changes in net assets/equity, cash flow statement, when the entity makes it approved budget publicly available, a comparison of budget and accrual amounts, and notes, comprising a summary of significant accounting policies and other explanatory notes because financial transactions that occur in at the local authority level have commercial substance. If a transaction is said to have commercial substance means it affects the basic accounting equation (Assets=Equity+Liabilities). Information that need to be disclosed in the notes such as accounting policies followed, description of the nature of the entity's operations and government acts made reference to is readily available making it possible to come up with notes to financial statement.

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IPSAS 17 (Plant, Property and Equipment) is also applied by the local authorities when determining the carrying amounts of its plant, property and equipment to recognize in the statement of financial position. All property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the entity recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. This standard is applicable to plant, property and equipment acquired by the local authority after dollarization in 2009 because their acquiring cost can be easily determined. Determining acquiring cost and adjusting the carrying amounts acquired when the country was using Zimbabwean dollars makes is difficult. This means accounting officers responsible for preparing financial statement of the local authorities need to estimate the fair value at which the plant, property and equipment can be recognized at in the financial statement. In making those estimates IPSAS 3 (Accounting Policies, Changes in Accounting Estimates and Errors) is applicable which states that changes in accounting estimates (for example, change in useful life of an asset) are accounted for in the current period, or the current and future periods (no restatement).

Some of the local authorizes like the Masvingo Town council have plots that they lease out to tenants in return for income. Section 16(5) authorizes local authorities to collect income from lease because it states that revenues received from the lease of a business or residential site in small-scale commercial land shall be paid to the local authority in whose area that business or residential site is situated.This means IPSAS 13 (Leases) is applicable in Zimbabwe when local authorities account for operating leases. The standard states that assets held for operating leases shall be presented in the lessor's statement of financial position according to the nature of the asset and that lease revenue shall be recognized on a straight-line basis over the lease term, unless another systematic basis is more representative of the time pattern of the benefits. The standard also requires the local authority to add initial direct costs incurred in negotiating and arranging an operating lease

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to the carrying amount of the leased asset and recognize them as an expense over the lease term on the same basis as the lease revenue.

In conclusion, government of Zimbabwe prepares its financial statements in accordance to International Public Sector Accounting Standards (IPSAS). The government of Zimbabwe is made up of central government and local government. Central government is made up of ministries such as Ministry of Finance and the local government is made up of municipal council, town council and rural district councils. Central government uses Cash-Based IPSAS and Local government uses Accrual-Based IPSAS.

Question:

- **Identify means through which the Government raises funds locally to supplement public funds. [25]**

  Definition of key terms:

  Public funds – Money that is generated by the government to provide goods and services to the general public

  Supplement – A thing added to something else in order to complete or enhance it

  Locally – inhabitant of a particular place, in this case the area of study is Zimbabwe

The local government is faced with a lot services to provide such as street lighting, refuse collection, providing water, managing sewer systems etc. for the public hence they also have budgets to help in planning of funds as well as allocating them. The government is therefore faced with the responsibility of raising money so that this tallies with the services that they will be providing. It is therefore their sole responsibility to then find ways in which to raise revenue with the help of the already established system.

There are several ways of raising revenue so as to supplement public funds. Taxation is the most obvious and main way in which government legally require their citizens to hand it to them under the threat of coercion. In Zimbabwe the government introduced Zimbabwe

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Revenue Authority (ZIMRA) which collects taxes from individuals, entrepreneurs and big companies which operate locally either through selling goods from imports or exports or providing services within our country. Examples of tax collected are PAYE, VAT (as according to the VAT Act) and import duty.

Borrowing

To supplement on taxation, Government can use borrowing as a way of raising its funds. There are legitimate reasons to borrow money. A nation at war, for instance, has no option but to win that war or cease to exist. This means using whatever resources it can obtain to use against their enemy and in national defense.

The increase in money supply between end December 2015 and May 2017 is being created by the overdraft from the central bank to the government that is used to finance the large fiscal deficit .Indeed as noted by the IMF's executive board at the 2017 Article IV Consultation, the ongoing deficit financing modalities, particularly the credit from the central bank, are unsustainable and have significant potential for generating inflationary pressures

By borrowing, in compliance with The Companies Act, the government may request a certain amount from the private sector or from the market and then issues bonds to the lenders. Government bond is a certificate given to the lender in exchange of money and it carries a certain interest. Therefore for the government to raise more money, it has to increase its interest on bonds so that more people will be willing to lend to the government as they are guaranteed and convinced that they will be paid back more of their money.

To add on borrowing, according to the International Journal of Humanities of Social Science(2014:Of 5-6), the government borrowing systems through collaborating with private entities in their provision of their services as it helps enhancing its revenue capability.

However, borrowing is always a bad idea with a strong negative. When one borrows money, they are not only paying more for what they get than if they used their own money, but you are also enslaving future generations to pay for your lifestyle. However,

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government is free to make this kind of deal to fund its people especially in cases of emergency as stated earlier.

Borrowing money also has a significant economic impact. Loans are an economic good just like apples and cars. There is a supply, and there is a demand. If the government bids for loans, then people who cannot bid higher cannot obtain loans. If the government borrows too much money, then there are no loans available for the private sector. This has a devastating effect on our economy since people's ability to borrow is limited by the government's largesse.

Printing

Another major way of government raising funds is through printing. As stated in the Government of Zimbabwe (2010) Public Finance Management Act, printing is regarded as the easiest way of generating funds for the government since government has the power to print money therefore can make money by just simply creating it at their will but has to consider not damaging the stability of the economy. With printing they print money and put it into the government's account either directly or indirectly for use.

As long as they don't print too much or too little, the economy can keep growing at a healthy rate, with no negative consequence. If this is done right, the government can print exactly enough money to maintain a steady money supply to meet the needs of the growing economy and thus fund all of the necessary activities without taxing a single dollar.

The government can engage itself in different income generating projects or activities and the income it earns from these activities is revenue. For example the government can engage itself in gardening through irrigation schemes and cattle rearing to mention a few.

Treasury Bills

The government has issued Treasury Bills amounting to 50 Million to raise funds for irrigation equipment under its specialized Command Agriculture program. The bills have tenure of three years from the day of allotment with an interest of 6% per annum. Financial Institutions like Agribank, CBZ and ZB will disburse the bond.

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The government said the bond was targeted at pension funds insurance companies, Banks and any other interested parties. Zimbabwe has only 206 000 hectares of agriculture land under irrigation and has plans to put 2,5 million hectares under irrigation Under Commando Agriculture, the government provided inputs such as seeds and fertilizer, irrigation and merchandised equipment mainly to small holder farmers. At least 168666 hectares of land was planted under the program for short of 400 000 targets due to logistical challenges in the distribution of the inputs and incessant rains.

As a result the country expects 2 million tonnes of maize in the 2016/17 season which is more than enough to meet national demand. Once touted as the region's bread basket, the country has been forced to import maize to supplement local production

Fines and penalties

Fines and penalties is also another way in which the government can use to raise its funds. As a government it is responsible for setting laws so as to govern and protect the country and there are fines and penalties as a punishment to those who breach the law. Therefore it is from these penalties where the government raises its funds. Examples of fines in Zimbabwe are roadblocks on highways whereby drivers pay spot fines for examples because of over speeding, overloading to mention but a few. These fines range according to the offense committed by the driver or if the vehicle is not in good shape.

Fees and charges

Fees and charges can also be used as a means of raising government funds. There are certain services which are only provided by the government there charges a fee for using the services to cover the costs incurred. For example in cases of water and electricity every citizen is bound by the law to pay monthly rates, ZINWA monthly rates for water and ZESA collects monthly rates for electricity. There are also license fees which are imposed on vehicles and shops for them to operate. Licenses purchased by businesses are to be considered taxes and these encompass payroll taxes, motor vehicle licenses, natural resource taxes and licenses, business fines and penalties etc.

If fees are set appropriately the Government can continue providing critical services forever. If there is more demand, they can meet that demand by acquiring more resources

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with the additional revenue. If less, they can scale back their operation. If fees are too high people avoid interacting with the government, even when they legitimately should. If fees are too low people may interact with government when they don't need to, and there may not be enough money to supply the demand for the service. With fees, it's important to consider the true cost of the service, and have the user of that service bear the burden. This way, the service is used in exact proportion to its usefulness to the people.

Public Money

Ministry of Roads and Transport also has come up with a way of raising public funds locally through tollgates. These have been built in most busy highways especially in entrances or exits of cities and town all around Zimbabwe. The use of Zimbabwe National Roads Administration (ZINARA) is previously and currently helping in paying the nation's debts locally and to our other creditors from other countries.

Ministry of Labor created Zimbabwe Manpower Development Fund (ZIMDEF) which on its own generates public funds through levies (each and every student in Zimbabwe contributes a certain amount of money termly for public funds through levies according their level of education), sale of articles, gifts and donations from any persons for example according to Chronicle 9 April 2017 "Prof Jonathan Moyo was being accused of siphoning more than $270 000 to cover areas where he has vested interest."

Tourism

Tourism is one of the fastest growing and promising sectors in Zimbabwe; it has contributed 11% of the GDP and 20% export revenue. In tourism there are various organisations which focus on different types of parks but they all report to a mother body which is the Zimbabwe Parks and Wildlife Management Authority (ZPWMA)

ZPWMA generates revenue through photographic tourism, hunting and fishing. Photographic tourism is whereby pictures of various plants and animals are taken, and then sold to Authors. A certain percentage is remitted to the government which contributes to the revenue.

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The Zimbabwean government is targeting US$5 Billion revenue from tourism sector through arrivals, currently the tourism sector is contributing USD 1 Billion in revenue on the basis of 2 million arrivals.

The Tourism industry has created employment in agriculture, craftsmanship & arts, transport & communication and banking. Recently the government has imposed tax on transport operators, agriculture and on craftsmanship therefore the government will get more revenue which it can use for public funding.

To avoid the leakage effects of tourism, thus for each USD100 spent by a tourist from a developed country, +USD5 actually stays in the developing country. There is an increase on cash inflow and this will reduce the cash crisis within the country. As according to Daily News April 6 2017"According to Minister of Tourism, Walter Mzembi said "Adding that through Britons must fly via Ethiopia or South Africa, the country's new 120 million pounds Victoria Falls opened in November was the biggest game changer to Zimbabwean and regional tourism through its increase in revenue collected"

Lastly, as it is normal, when people have profits, they tend to invest into some markets or assets that would generate more income in future. Investments are used to expand or start businesses. This is same with the government of Zimbabwe. Through the Ministry of Local governance, public works and national housing, the government invested into land and built houses all over the country which they lease out to civil servants and their rentals are deducted from the civil servants' salaries monthly as a way of generating income.

This investment is of advantage as it is an investment which generates income for public funds for a life time provided the government maintains and repairs the houses constantly, ceteris paribus.

As we have stated above, to conclude, ZIMRA is the main source of public fund supplemented by the other various ways also stated above, the government may still have challenges to actually collect the amount of funds to be collected due to negative effects such as corruption, tax invasion and current economic situation Zimbabwe is facing thus they are forced to maximize the little public fund they are currently earning to vital issues like health and country's security.

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Question:

- **GIVE A DETAILED EXPLANATION OF THE NATIONAL BUDGET PREPARATION PROCESS, EXPLAINING HOW EACH STAGE HELPS TO PRODUCE A COMPLETE DOCUMENT? [25]**

The National budget refers to the estimation of revenue and expenditure for a specific period of time as alluded by Scott(2010). National budget preparation for Zimbabwe consists of three main phases namely

i) Budget preparation phase
ii) Approval phase
iii) Implementation phase

The assignment is going to give an in-depth explanation of each phase clearly examining how each phase assists in producing a complete national budget document that consists all relevant financial plans for the year.

I) BUDGET PREPARATION PHASE

In preparation of National budget, the financial year commences on 1 January of each year. The budget preparation for a particular year commences years prior. Officially, budget preparation commences in March/April each year when the treasury sends estimates circular to Accounting officers of various ministries to base their draft proposals estimates. This circular contains treasury instructions that Accounting Officers must conform in the format of Cabinet memoranda which has the following components:

1. The heading
2. The aim of the submission
3. Brief summary of the required decision or approvals and the motivation why it is being submitted and why those monies are being requested
4. Financial implications, additional manpower needs, availability and costs (indicated separately)

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5. Lastly recommendations

The budget circular is expected to cover these critical aspects namely

1. A notice to Accounting Officers stating the date on which the various estimates must be submitted to theTreasury.
2. Language to be used and some explanatory memorandum
3. Specific directions about the contents of the estimates (the circular sketches the background from which the accounting data must be compiled)

- For any request beyond that, the Accounting Officers must show in writing their strong affirmation of the need for the item placed in the estimates.

4. May prescribe the maximum allowable ceiling for estimates

Responsibility for the budget preparation rests on the Cabinet and House of Assembly. The proposed estimates are decided upon by Cabinet depending on the priority levels placed by the Cabinet. The Minister of Finance carries most of the responsibility for the executive aspects of the financial process and performs much work in connection with financial matters in parliament.

3 main aspects considered by the Minister of Finance in the determination of policy are:

1. Purely financial considerations-This includes surpluses from current period, revenue anticipated from imports and taxes, anticipated expenditures on existing services.

-

2. General economic factors-This includes the current national economic situation, steps to be taken in stimulating or restricting the economy and the best policy to take in the long term for the country's development. He/She must also consider the policy that will promote long-term financial development in the country.

3. Political factors-This refers to policies implemented and any other known political event influencing public service delivery. For example a budget prepared in the year of elections will definitely be influenced by the political event.

The budget preparation phase assists mainly in producing a complete National budget through

- ✓ Ensuring that the budget fits government policies and priorities
- ✓ Allocating resources in conformity with both policies and fiscal targets
- ✓ Addressing operational efficiency and performance issue
- ✓ Encourages effective ways of dealing with money issues

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- ✓ Helps avoid surprises and maintain fiscal control

The preparation of the budget is an ongoing process throughout the year. The ministries submit details of recurrent expenditures and the details of new expenditures are subject to the Ministry of Finance consideration. Budget estimates do not include any increases in expenditure values, salaries costs or changes in services that have not been approved by Treasury in the current or previous periods. In such cases, a ministry may be called upon by Treasury to come and defend the budget figures submitted. However, ministries do not get exactly what they request from Treasury. As a result, most ministries have a tendency of inflating the figures.

As opposed to the private sector where budgets are prepared based on expected revenue, government prepares its budget basing on expenditure first. Priority in budget preparation is set mainly on emergency and other high priority aspects.

PHASE 2: THE APPROVAL PHASE

This is the most important phase of the budget preparation and it has to be conducted fairly. It answers to one of the 4 rules established by *Campion's rules of financial procedure*

In terms of the Public Finance Management Act, the Minister of finance has to submit estimates of expenditure to parliament for each financial year. This is done according to the Constitution of Zimbabwe Act 2013.

For the purposes of parliamentary control, the main practical objective of the estimates of expenditure is the annual summary and exposition for voting of government expenditure proposals. The budget also represents the accounting instruments for verifying whether money is being used as voted, i.e. according to the wishes of parliament

When the budget cycle begins, the compilation of the budget starts approximately a year before it is tabled in parliament. Treasury provides input to determine expenditure guidelines. After these guidelines have been made available to ministries, draft budgets are compiled and submitted. In October or November of each year, Cabinet approves the final expenditure allocation which will be made available to the ministries.

Upon Cabinet approval, Treasury will call the Cabinet printer to print the draft estimates, proof-read all figures in the budget. They vote and satisfy themselves as Treasury that the budget directorate has checked and has edited the draft estimates.

The Minister of Finance will then propose a date for the presentation and tabulation of the budget to parliament with the speaker of parliament and the parliamentary clerk.

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Treasury is therefore responsible for finalizing the budget of expenditure for all allocations. The expenditure budget is finalized and printed approximately two weeks before the 2nd reading of the Appropriation bill.

When a budget is presented in parliament, a bill has to be drafted. This is because public funds can only be made available from the Consolidated Revenue Fund after approval by parliament. An Appropriation bill which when approved and passed becomes an Appropriation Act constitutes the budget and an appropriation budget. When approved by parliament, it is sent to the President for approval.

The purpose of the Appropriation act is to appropriate amounts of money for the needs of the state during a financial year that ends in December. It is the President and Parliament of the Republic of Zimbabwe who determine the stipulation, parliament vote from Consolidated Revenue Fund and the authority to charge that account with expenditure. The public finance management act also details the procedures that have to be followed in order for monies to be appropriated and allocated to the various ministries.

The Appropriation Act requires supporting documents such as schedules to the Act and the printed estimates of expenditure and income. These schedules have the same format and only schedule of the expenditures are charged to the consolidated revenue fund and it applies to all the funds that accrue and are expended by government.

1st READING

When the main budget is tabulated, a week before the budget speech by the Minister of Finance, an indication is given in the minutes of the proceedings of the two houses (House of Assembly and House of Senate) that the speaker has tabled the appropriation bill. The bill is then regarded as having been read in the house for the first time although at this stage no document has been physically tabled because the contents of the Appropriation bill remain secret until the budget speech has been read.

While in all other procedures when making law, you'll give the agenda and the insight of what is going to be discussed so that the people come prepared to hear and discuss during the first reading. However for the budget, it is only verbal that they will be told that the Appropriation bill for the budget will be read on a date and time announced. The details of what is contained in the budget speech are not given. When the Minister of Finance delivers the budget speech, everybody will be in the house and nobody will be having anything written, except the ministers who already know what is written in the budget because they are the ones that have approved the budget in Cabinet, so to them it will be no surprise. They will know what is contained and they will be having their budget figures estimates with them.

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When the Minister of Finance delivers his budget and concludes the delivery of the budget, he will end up with the words; "Mr Speaker, I now table the estimates of expenditure that have to be defrayed out of the CRF during the financial year ending (given), the estimates of expenditure for the financial year ending (given), the statistical and economic survey, the comparative figures of the revenue for the year and the tax proposals, the estimates of revenue received for and the estimates of expenditure to be defrayed out of end of the budget for the following year….." [And then he puts the budget figures and estimates of the expenditure and income on the table]. When he says he is "putting them on the table", he means it's now ready for consumption, i.e. it's now public information and people can now get the budget speech and it's now ready for discussion.

Immediately after saying that, a member leader or shadow minister of the opposition party will then get up to deliberate, commend on what the minister said in short and then ask parliament to adjourn in order to give parliamentarians time to go and 'collect ammunition'. Then the Minister of Finance or somebody from the ruling party will second the shadow minister of the opposition and parliament will adjourn to give the parliamentarians enough time to go and read, study, collect ideas/ ammunition and be ready to debate on the proposals that the Minister has presented before parliament.

It usually takes a month before parliament reconvenes to discuss the budget, and by that time, the year will already have started. The parliamentarians are tasked with the duty to go and consult with the other people on the implications of the budget so that when they come back to debate, they will debate from an informed point of view because they will have been given enough time to collect ammunition.

Before the Minister of Finance can submit the Appropriation budget in parliament, he has to announce his intention to do so by asking the Speaker of the house to arrange for the 1st reading.

When this first meeting is held, the Speaker will then table the appropriation bill, then comes the 2nd reading.

2nd READING

In the 2nd reading, on a predetermined date by the Minister of Finance, the Minister will start by the words, "Mr. Speaker, I propose that the draft bill now be read for the second time…"

He then proceeds to explain and when he is explaining the budget, it is now in the 2nd reading that he explains and delivers the budget (NB: The first reading is just verbal,

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where an announcement is only made to say the budget will be read on a date advised)Details are given in the 2nd reading.

When the Speaker refers to the Appropriation bill and other budget documents to the Standing Committee on Finance directly after the conclusion of the budget speech, this committee has to deliberate on these documents for a period of 7 successive days. The Standing Committee will be making presentations, moving around the country, holding breakfast meetings on budgets and budgeting.

After the consultation has taken place, the debate on the 2nd reading and the debate on the Committee Stage are dealt with separately in the separate house of parliament.

COMMITTEE STAGE

During the Committee Stage, the House of Assembly has to take at least 80 hours debating on the budget. No member shall speak for longer than 10 minutes because they already would have had come up with their summaries. There shall be no restrictions on the number of occasions of which a member may speak and on the length of the speech made by the Minister of Finance and the leader of the opposition responsible for finance.

In the House of Senate, discussions on the budget must take 45 hours. The time taken during the debate (the 80 hours and the 45 hours) can be spread over a period of time [This fulfils Campion's rule which talks about the intervals between the various stages]During the period of debate, they will discuss vote by vote, figure by figure and either to approve or disagree in voting. The Committee Stage is chaired by the Deputy Speaker of Parliament.

In the House of Senate, the Deputy President of Senate chairs the committee stage. When everything has been completed, they will then take a vote on what they have agreed on, then the two deputies mentioned above, will report to their seniors (i.e. the Speaker of Parliament & President of Senate respectively) on the outcome of the committee stage.

3rdREADING

The Speaker of Parliament and the President of Senate will take their chairs and preside over the 3rd reading of the budget. The 3rd reading must take 8 hours for the house of Assembly and a vote must be taken after those 8 hours have been concluded.

In Senate, they will take at least 4 hours. These hours exclude the time that the Minister of Finance takes to reply issues raised during the 3rd reading debate. In this case, member's speech is limited to 30 minutes.

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After the 3rd reading, draftbill has been read, and approved, it is submitted to the President for signing and publication into the government gazette. Only then (after the bill has been approved; around April) does the Part Appropriation bill lapse and the ministries can now expend expenditures according to the provisions of this Appropriation Act

If there happens to be a dispute between the House of Assembly and Senate over the budget, where one house approves and the other does not approve, then those arguments must be sent to the President, together with a written report from the Speaker or the President of Senate. It is only then that the President may decide to sign it into law or not. If he decides not to sign, he will send it to the House of Assembly to reconsider its decision. If the House of Assembly still insists that what they have done they are not changing, then the President will sign. All what Senate can do is to delay the implementation and the approval, but they cannot change anything in the budget

The day on which the Minister of Finance presents the budget is known as Budget Day. However, the prevailing circumstances will determine where the emphasis of the budget will fall in the budget speech. Some of these proposals for improvements may give rise to expenditure that has not been provided for in the budget. These will necessitate adjustments in the Supplementary budget

The approval phase assists in producing a complete National budget document through

i) Considering contributions from the house of assembly and senate in budget preparation. It assists towards completeness of the budget as a whole.
ii) The approval phase also allows a margin of monies to be set aside for contingency e.g. as experienced on the Tokwe Mukosi incident where flood victims received assistance in the form of food, clothes, relocation assistance etc debited from the contingency reserve of the national budget.

This is how the national budget proceed through the *approval phase*, after which follows the *Implementation phase*.

PHASE 3: THE IMPLEMENTATION PHASE

Just as Treasury assists the Minister in the preparation of the budget, He/she also assists him in the implementation of the budget

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They exercise control over the implementation amount to ensure that money voted is not spent wastefully or on unauthorized purposes

The implementation phase assists in producing a complete document through:

- ✓ Ensuring that those charged with managing and monitoring utilization of revenue are aware of policy objectives and aim at ensuring that everything is on course as voted for by the parliament. Thereby providing continuous feedback in utilization.
- ✓ Managing budget lines within clear, credible and predictable limits for fiscal policy.
- ✓ ensuring alignment with medium term strategic priorities of government

In conclusion, Budget preparation being a continuous process, reviews are to be made from time to time to ensure that there is alignment with strategic priorities of governments and ensure that there is no misappropriation of funds.

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